2012 ANNUAL REPORT



Canada Bread Company, Limited

CANADA BREAD IS A LEADING MANUFACTURER AND DISTRIBUTOR OF VALUE-ADDED AND NUTRITIOUS FRESH AND FROZEN BAKERY PRODUCTS, AND FRESH PASTA AND SAUCES.

At a Glance

Canada Bread operates two core businesses:

FRESH BAKERY

Our **Fresh Bakery** business includes pantry breads, rolls, flatbreads, artisan breads, sweet goods and snack cakes sold under a number of leading brands, including Dempster's®, Villaggio®, POM®, Bon Matin® and Ben's®. We also own Olivieri®, a leading brand of fresh pasta and sauce products which is marketed across North America.

FROZEN BAKERY

Our **Frozen Bakery** business is a major North American producer and distributor of frozen unbaked, par-baked and fully-baked bread products. Our U.K. operation is a leading specialty bakery producing bagels, croissants and specialty breads. Key brands include California Goldminer® frozen bakery products, Tenderflake® ready-to-bake pastry products, and New York Bakery Co.® in the United Kingdom.

Through our Fresh and Frozen Bakery operations, we serve retail stores, in-store bakery departments and foodservice customers across North America and the United Kingdom.

Canada Bread employs approximately 6,400 people and operates approximately 30 facilities across Canada, the United States and the United Kingdom. The Company is 90% owned by Maple Leaf Foods Inc.

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2012 was a challenging year, as we focused on mitigating the impact of food inflation and market shifts as consumer demand for bread products declined across North America and in the UK. Due to our efforts, we increased our adjusted operating earnings for the year, while adjusted earnings per share declined 5.0%, reflecting the benefit of tax adjustments in 2011.

There are several reasons for the shift in bread consumption including concerns over carbohydrates and weight gain, the increasing popularity of gluten free diets, and food inflation and related changes in consumer purchasing patterns. These consumer trends largely affected our commercial fresh bakery business, where even slight volume changes can have a significant impact. We are tackling these issues through a number of initiatives including marketing and education programs to raise awareness and understanding of the health benefits of grains. We are also accelerating product innovation with a focus on offering consumers more healthy whole grain choices and further cementing our leadership in these categories. As a result of these efforts we stemmed a significant volume decline that impacted our results earlier in the year and increased our branded market share.

Profit growth in Fresh Bakery was also curtailed by the lack of a price increase in 2012, although overhead cost reduction initiatives helped to offset this and contributed to stronger earnings later in the year. The business also carried duplicative overhead costs of approximately $4.9 million as we continued to ramp up production at our new bakery in Hamilton, Ontario. Two smaller bakeries in the Greater Toronto Area were closed during the first quarter of 2012 and production from a third bakery will be transferred in 2013. This will eliminate these additional costs and we expect the new bakery to be accretive to earnings commencing this year.

Our fresh pasta business, while a relatively small part of our Fresh Bakery business, impacted earnings as it was challenged by higher input costs that were not fully managed through pricing, and higher supply chain costs. These issues are being addressed and we expect improved performance in the year ahead.

Our North American frozen bakery business delivered a significant improvement in profitability compared to 2011. The business has taken a number of steps over the past two years to reduce costs and strengthen sales. This team aggressively focused on volume growth in 2012 and realized profitable new business that has contributed to improved manufacturing efficiencies and earnings growth. Our ability to partner with customers that lead their market channels has solidified this business and helped create a number of new innovative products.

Earnings from our U.K. business increased slightly from prior year, and this business has undertaken a number of changes that position it for improved performance. We closed our bakery in Walsall and exited the lower margin in-store bakery bread business. We now operate three facilities in the U.K. at Rotherham, Maidstone, and London, focusing on our core categories. As a result of these manufacturing changes we reduced operating costs and improved our sales mix. We secured a large new account for our croissants and in response have expanded capacity at our Maidstone plant that will contribute to results in 2013. We are also installing a third bagel line at Rotherham to meet demand for our New York Bakery Co.® bagels, an outstanding marketing and innovation success that continues to grow the bagel category and our leadership within the category.

We have an excellent business, with leading market shares and brands in most of our segments and markets. However our growth has been flat over the past few years and we are intent on changing this. In late 2012 we launched a strategic review of our Bakery businesses, including growth platforms, category expansion, geographic expansion and cost reduction opportunities. We are confident this will result in further actions in 2013 and beyond to realize stronger sustained profitable growth.

Despite the challenges of the past year, we have built a stronger company with an extraordinary ability to deliver nutritious and exciting products to our customers and consumers. Our achievements of the past year were made possible by the hard work and dedication of our employees and franchisees. I'd like to acknowledge and thank them for their commitment and accomplishments. I am confident that with their continued support, coupled with the number of initiatives planned or underway, we will realize higher levels of sustained growth and profitability.

On behalf of the Board:



Richard A. Lan
President and
Chief Executive Officer



Michael H. McCain
Chairman

Management's Discussion and Analysis

February 25, 2013

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or the "Company"), 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products, and fresh pasta and sauces. The Company employs approximately 6,400 people at its operations across North America and in the U.K.

OPERATING SEGMENTS

The Company reports in two segments: Fresh Bakery and Frozen Bakery.

The Fresh Bakery segment produces fresh bakery products, sweet goods, and specialty fresh pasta and sauces. The Frozen Bakery segment is comprised of frozen par-baked bakery products sold in North America and the U.K. bakery business which specializes in bagels, croissants, and specialty breads.

FINANCIAL OVERVIEW

Canada Bread sales decreased 1.8% to $1,567.3 million for the year compared to $1,595.5 million in 2011. After adjusting for the sale of the Company's fresh sandwich product line, the closure of a bakery in the U.K., and currency translation on sales in the U.S. and U.K., sales were consistent with last year. The Company as a whole benefited from both the full year impact of 2011 price increases and pricing implemented during 2012, as well as higher volumes in the North American frozen bakery business. These benefits were offset by volume declines in the fresh pasta, U.K., and fresh bread businesses.

Adjusted Operating Earnings[(1)] increased 5.5% to $115.9 million in 2012, compared to $109.8 million last year due to earnings improvement in the fresh bread, frozen bakery, and U.K. bakery businesses, partly offset by lower earnings in the fresh pasta business. The Company as a whole benefited from the impact of price increases discussed above and positive hedging activities that reduced raw material costs. Also contributing to improved earnings were overhead savings from bakery consolidation initiatives and lower duplicative overhead costs associated with production transfers to the new Hamilton fresh bakery. These factors were partially offset by higher inflationary costs across the Company and lower volumes in the fresh bread business, particularly during the first quarter. Lower earnings in the fresh pasta business were due to supply chain issues encountered during the year that resulted in lower volumes and higher operational costs.

Adjusted Earnings per Share[(2)] was $3.26 per share in 2012, down from $3.43 per share last year. Adjusted Earnings per Share in 2011 included $0.49 per share related to a tax adjustment associated with a prior acquisition.

Net earnings in 2012 were $74.2 million ($2.92 basic earnings per share) compared to $52.0 million ($2.04 basic earnings per share) last year. Included in 2012 net earnings were $11.1 million pre-tax restructuring costs (2011: $46.4 million).

Notes:

(1) Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income/expense.

(2) Adjusted Earnings per Share is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 24 of this Management's Discussion and Analysis for a description and reconciliation of all non-IFRS financial measures.

SELECTED FINANCIAL INFORMATION

The following table summarizes selected financial information for the three years ended December 31:

($ millions except earnings per share ("EPS") figures)	**2012**	2011	2010
Sales	**$ 1,567.3**	$ 1,595.5	$ 1,588.4
Adjusted Operating Earnings[i]	**$ 115.9**	$ 109.8	$ 111.5
Net earnings	**$ 74.2**	$ 52.0	$ 62.1
Basic and diluted EPS	**$ 2.92**	$ 2.04	$ 2.44
Adjusted EPS[i]	**$ 3.26**	$ 3.43	$ 2.90
Total assets	**$ 970.0**	$ 964.5	$ 912.9
Net Debt (Cash)[i]	**$ (87.1)**	$ (52.0)	$ (72.7)
Total long-term liabilities	**$ 85.2**	$ 78.9	$ 68.9
Return on Net Assets ("RONA")[i]	**11.6%**	10.3%	12.6%
Cash provided by operating activities	**$ 109.1**	$ 103.1	$ 90.9
Dividends declared per share	**$ 1.70**	$ 0.66	$ 0.24

[i] *Please refer to the section entitled Non-IFRS Financial Measures starting on page 24 of this document for a description of all non-IFRS financial measures.*

DISCUSSION OF FACTORS IMPACTING THE COMPANY'S OPERATIONS AND RESULTS

Fluctuating Input Prices

Changes in input prices have a significant influence on both the Company and the food industry. Wheat, dairy products and fuel constitute the primary input costs in the Company's operations.

The price of wheat has been volatile and on an increasing trend in the past several years. Wheat prices have recently been influenced by several factors, including, but not limited to:

- Changing demand from export markets;
- Crop yields and supply shortfalls due to severe droughts in North America during 2012; and
- "Food for Fuel" initiatives sponsored by the U.S. government that have resulted in increased demand for grains, in particular corn, that is used for ethanol production, and decreased land set aside for other crops such as wheat.

Beginning in 2007, strong demand from export markets and shortfalls in world crops led to sharp increases in wheat prices that reached peak levels in mid-2008. Towards the end of 2008, prices started to decline, and remained lower throughout 2009 compared to 2008. In the second half of 2010, wheat prices rose by approximately 75%. That trend continued in the first six months of 2011, and despite some small declines in the second half of the year, prices remained at a relatively high level for the remainder of 2011. Average prices in 2012 were largely consistent with 2011. The Company continues to utilize forward contracts as part of its hedging strategy to provide some protection against the effects of higher wheat costs, but the Company's primary responses to rapidly increasing input costs have been to increase prices for its products and continuing to seek out efficiencies in its operations.

The following tables outline the changes in key commodity prices that have impacted the Company's business and financial results:

Wheat (USD per bushel)[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 8.66**	**$ 8.67**	$ 8.15	$ 7.92	$ 9.41	$ 9.20
2011	**$ 8.50**	**$ 9.07**	$ 9.21	$ 9.46	$ 8.77	$ 8.84
Change	**1.8%**	**-4.4%**	-11.6%	-16.3%	7.3%	4.1%
2010	**$ 8.82**	**$ 6.23**	$ 5.15	$ 5.13	$ 6.82	$ 7.81

[1] *Daily close prices (Source: Minneapolis Wheat Exchange)*

Wheat (CAD per bushel)[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 8.61**	**$ 8.66**	$ 8.15	$ 8.00	$ 9.37	$ 9.12
2011	**$ 8.64**	**$ 8.97**	$ 9.08	$ 9.15	$ 8.60	$ 9.04
Change	**-0.3%**	**-3.5%**	-10.2%	-12.6%	8.9%	0.9%
2010	**$ 8.87**	**$ 6.40**	$ 5.36	$ 5.27	$ 7.11	$ 7.88

[1] *Daily close prices (Source: Minneapolis Wheat Exchange and Bank of Canada)*

Oil (USD per barrel)[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 91.83**	**$ 94.11**	$ 102.88	$ 93.43	$ 92.18	$ 87.96
2011	**$ 98.83**	**$ 94.88**	$ 93.54	$ 102.23	$ 89.72	$ 94.01
Change	**-7.1%**	**-0.8%**	10.0%	-8.6%	2.7%	-6.4%
2010	**$ 91.38**	**$ 79.48**	$ 78.64	$ 77.79	$ 76.05	$ 85.10

[1] *Daily close prices (Source: Cushing, OK WTI Spot Prices FOB)*

USD/CAD exchange rates[1]	**As at December 31**	**Annual average**	Q1 average	Q2 average	Q3 average	Q4 average
2012	**$ 1.0051**	**$ 1.0007**	$ 0.9991	$ 0.9900	$ 1.0049	$ 1.0087
2011	**$ 0.9833**	**$ 1.0117**	$ 1.0146	$ 1.0332	$ 1.0202	$ 0.9777
Change	**2.2%**	**-1.1%**	-1.5%	-4.2%	-1.5%	3.2%
2010	**$ 1.0054**	**$ 0.9709**	$ 0.9618	$ 0.9729	$ 0.9622	$ 0.9871

[1] *Daily close prices (Source: Bank of Canada)*

SUPPLY CHAIN STRATEGY

In order to maintain earnings growth and support innovation and growth strategies, Management has determined that opportunities exist to increase supply chain efficiencies by consolidating production from several older and smaller bakeries into focused centres of excellence.

In the fresh bread operations, an extensive network of mid-sized facilities located across Canada creates the opportunity to consolidate some bakeries to drive efficiencies and provide additional capacity to support innovation and category expansion. As a result, in January 2010, the Company announced plans to build a new efficient fresh bakery in southwestern Ontario, replacing three existing older and smaller facilities located in that region. In mid-2011, the Company commissioned this state-of-the-art 385,000 square foot fresh bakery in Hamilton, Ontario. Three bakeries in the Greater Toronto Area are being closed to consolidate production into the Hamilton facility. Two bakeries closed in the first quarter of 2012. Closure of the third Ontario bakery is planned for the second quarter of 2013. During the fourth quarter of 2011, the fresh bread business also decommissioned and transferred production from its Delta, British Columbia location to other bakeries to increase plant network efficiencies. The Company plans to further consolidate production in 2013 by closing its bakery in Grand Falls, New Brunswick and a bakery in Edmonton, Alberta in the first half of 2013.

The Company also has an opportunity to streamline supply chain operations in its frozen bakery business. In March 2011, the Company closed its frozen bakery in Laval, Quebec, and transferred production to other facilities. In March 2012, the Company closed its bakery in Walsall, U.K. as part of a plan to focus production in its core categories of bagels, croissants and specialty breads. The Company is also constructing an addition to its bagel facility in the U.K., expected to be completed in 2013.

SYSTEM CONVERSION

The Company has embarked on an initiative to consolidate its information technology systems onto a single platform in order to standardize processes, reduce costs and enable a shared services structure. Management selected SAP software as its new platform and has since taken a rapid, yet carefully designed approach to implementation. Successful execution has been enabled by changing existing businesses to standardized SAP processes, limiting any software modifications and rigorous master data controls. By the end of 2011, SAP had been fully installed across the entire North American frozen bakery operation, as well as numerous sites within the fresh bread business including the Atlantic Region, Western Region and the new efficient facility in Hamilton, Ontario.

OPERATING REVIEW

The following table summarizes sales by business segment:

($ millions)	**2012**	2011[1]	Change	2010
Fresh Bakery	**$ 1,059.9**	$ 1,087.3	-2.5%	$ 1,086.8
Frozen Bakery	**$ 507.4**	$ 508.1	-0.1%	$ 501.6
Total sales	**$ 1,567.3**	$ 1,595.5	-1.8%	$ 1,588.4

[1] *May not add due to rounding.*

The following table summarizes Adjusted Operating Earnings by business segment:

($ millions)	**2012**	2011	Change	2010[1]
Fresh Bakery	**$ 91.2**	$ 99.9	-8.7%	$ 100.2
Frozen Bakery	**$ 24.7**	$ 9.9	148.6%	$ 11.4
Adjusted Operating Earnings	**$ 115.9**	$ 109.8	5.5%	$ 111.5

[1] *May not add due to rounding.*

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales of $1,059.9 million in 2012 declined 2.5% from $1,087.3 million last year. After adjusting for the sale of the Company's fresh sandwich product line, sales decreased 2.1%, as volumes declined in both the fresh bread and fresh pasta businesses. This was partly offset by the full year impact of price increases implemented during 2011 in the fresh bread business.

Adjusted Operating Earnings decreased 8.7% in 2012 to $91.2 million compared to $99.9 million last year, as lower earnings in the fresh pasta business were partly offset by year-over-year earnings improvements in the fresh bread business. The fresh pasta business encountered supply chain issues during the year that resulted in lower volumes and higher operational costs. Earnings in this business were also negatively impacted by higher input costs, unfavourable sales mix, increased promotional spending, and an inventory adjustment during the first quarter of 2012.

In the fresh bread business, earnings increased due to a combination of price increases implemented during 2011 and positive hedging activities that reduced raw material costs. Also contributing to earnings were overhead savings resulting from the closure of a bakery in Delta, British Columbia and increasing efficiencies in the newly commissioned Hamilton, Ontario bakery. Partially offsetting these benefits were the impact of lower industry volumes, primarily in the first quarter, and higher inflationary costs.

In 2011, the Company was operating three smaller bakeries in the Greater Toronto Area as it gradually consolidated production at its new fresh bakery in Hamilton, Ontario. During 2012, two of these facilities were closed, reducing duplicative overhead costs year-over-year. Closure of the third Ontario bakery is planned for the second quarter of 2013.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales of $507.4 million in 2012 were consistent with last year. After adjusting for the closure of a bakery in the U.K. and currency translation, sales increased 4.3%, largely attributable to improved volumes, sales mix, and higher selling prices in the North American business.

Adjusted Operating Earnings in Frozen Bakery increased to $24.7 million in 2012 compared to $9.9 million last year, mainly due to improved performance at the North American bakery. The business benefited from higher pricing and volumes, as well as positive hedging activities that reduced raw material costs, partly offset by higher inflationary costs. In the U.K., earnings increased due to an improved sales mix and overhead savings from the closure of a bakery in Walsall, U.K. and the related exit of low margin bread categories in early 2012. In addition, promotional spending was lower due to the costs in 2011 associated with re-launching the New York Bakery™ bagel brand. These improvements were partly offset by lower volumes and higher inflationary costs.

GROSS MARGIN

Gross margin increased to $311.5 million (19.9% of sales) in 2012 from $311.0 million (19.5% of sales) last year. The increase as a percentage of sales was driven primarily by the full year benefit of price increases implemented during 2011 in the fresh bread business as well as during 2011 and 2012 at the North American frozen bakery business. Although the Company benefited from positive hedging activities that lowered raw material costs, this was offset by higher other inflationary costs, resulting in no net improvement to gross margin.

SELLING, GENERAL AND ADMINISTRATIVE EXPENSES

Selling, general and administrative expenses in 2012 decreased 2.8% to $195.7 million from $201.2 million last year, representing 12.5% and 12.6% of sales respectively. The decrease is attributable to lower compensation expense across most administrative functions, as well as higher marketing spending that occurred in 2011 to support the re-launch of the Company's New York Bakery bagels in the U.K. These savings were partly offset by higher advertising and promotional spending in the fresh pasta business.

OTHER INCOME/EXPENSE

Other income for 2012 was $1.6 million compared to $0.4 million in 2011. Other income in 2012 primarily comprises of proceeds from a legal settlement of $1.4 million, related to the Company's fresh sandwich product line, which was sold in 2011.

RESTRUCTURING AND OTHER RELATED COSTS

During the year ended December 31, 2012, the Company recorded restructuring and other related costs of $11.9 million ($9.4 million after-tax), before the impact of any reversals in the year. After reversals, the Company recorded $11.1 million ($8.6 million after-tax).

Of this pre-tax amount, $5.8 million was incurred by the U.K. bakery business related to accelerated depreciation and other costs in connection with the closure of two bakeries, in Walsall and London. A further $5.5 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.6 million was incurred in connection with other on-going restructuring initiatives of the Company.

During the year ended December 31, 2011, the Company recorded restructuring costs of $46.4 million ($35.3 million after-tax). Of this pre-tax amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancelation charges of $7.8 million, asset write-downs and accelerated depreciation of $11.7 million and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec frozen bakery and the Delta, British Columbia fresh bakery and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other on-going restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2012, all on a pre-tax basis:

	Severance	**Site closing**	**Asset impairment and accelerated depreciation**	**Retention**	**Pension**	**Total**
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**1,605**	**4,155**	**5,324**	**596**	**270**	**11,950**
Reversals	**(331)**	**(379)**	**(14)**	**(153)**	**–**	**(877)**
Cash payments	**(10,464)**	**(6,448)**	**–**	**(940)**	**–**	**(17,852)**
Other	**781**	**(144)**	**–**	**(637)**	**–**	**–**
Non-cash items	**–**	**(30)**	**(5,310)**	**–**	**(270)**	**(5,610)**
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068
Charges	15,299	9,027	21,011	1,020	–	46,357
Cash payments	(11,552)	(2,365)	–	(208)	–	(14,125)
Non-cash items	–	(1,342)	(21,011)	–	–	(22,353)
Balance at December 31, 2011	$ 14,975	$ 6,776	$ –	$ 1,196	$ –	$ 22,947

INTEREST EXPENSE

Interest expense for 2012 was $1.5 million compared to $1.1 million last year. The increase in interest expense is primarily due to a decrease in interest income. The Company's average effective cost of borrowing for 2012 was approximately 3.7% (2011: 3.8%).

INCOME TAXES

The Company's income tax expense was comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 28.5% (2011: 20.0%) and taxes recoverable on restructuring and other related costs at a rate of 22.2% (2011: 23.8%). The lower tax rate on operating earnings in 2011 was a result of the Company recording income tax reductions aggregating $12.4 million for the year, primarily comprised of adjustments arising from a prior acquisition in its fresh bread business. The Company's effective tax rate for 2011 before these adjustments was 31.4%.

TRANSACTIONS WITH RELATED PARTIES

The Company's majority shareholder, Maple Leaf, and its affiliates, are related parties. It is the Company's policy to conduct all transactions and settle all balances with related parties on arm's length terms and conditions. Services provided by Maple Leaf to the Company under the Intercompany Management Services Agreement, as described on page 16, are generally charged on a cost recovery basis by Maple Leaf.

Fees paid to Maple Leaf in 2012 for various services were $49.3 million (2011: $47.4 million). These services are set out in greater detail below.

General Services

Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources, provision of stock awards programs, Six Sigma continuous improvement resources, senior Maple Leaf management time for operating involvement, merger and acquisition transactions, and access to bulk purchasing programs. Fees paid to Maple Leaf in 2012 for these services pursuant to an Intercompany Management Services Agreement between the Company and Maple Leaf made effective January 1, 2012 were $14.2 million (2011: $15.3 million).

Information Systems Services

During 2012, the Company received certain information system services from Maple Leaf for a cost of $26.6 million (2011: $22.0 million). The increase from the prior year was due to higher depreciation expenses associated with SAP installations completed in 2011.

Engineering Services

During 2012, the Company received certain engineering services from Maple Leaf for a cost of $1.2 million (2011: $1.9 million). The decrease was directly related to lower levels of engineering required in the construction of the Company's new bakery in Hamilton, Ontario.

Marketing Services

During 2012, the Company received certain marketing and consumer services from Maple Leaf for a cost of $3.5 million (2011: $3.7 million), largely consistent with prior year charges.

Six Sigma Services

During 2012, Six Sigma fees charged to the Company amounted to $3.8 million (2011: $4.5 million). The decrease was attributable to lower continuous improvement resources required during 2012.

Logistics

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party of the Company until December 2, 2011. For the period of 2011 during which Day & Ross Transportation Group was a related party, the Company incurred costs of $2.2 million in respect of transportation services from Day & Ross Transportation Group in the normal course of business at market prices.

Other Items

The Company has a $50.0 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. This is described more fully in Note 12 in the consolidated financial statements.

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8 in the consolidated financial statements. The Company's contributions to these plans were $12.1 million in 2012 (2011: $13.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company. Key management personnel compensation includes amounts paid to Maple Leaf through the management services agreement.

Remuneration of key management of the Company was comprised of the following expenses:

($ thousands)	**2012**	2011
Short-term employee benefits		
Salaries, bonuses and fees	**$ 5,446**	$ 6,358
Company car allowance	**187**	153
Other benefits	**416**	68
Total short-term employee benefits	**6,049**	$ 6,579
Post-employment benefits	**560**	520
Share-based benefits[(i)]	**6,336**	4,697
Total remuneration	**$ 12,945**	$ 11,796

(i) *The share-based benefits were granted by the Company's parent company.*

During 2011 and 2012, key management personnel of the Company did not exercise any share options granted under Maple Leaf Share Incentive Plan.

ACQUISITIONS AND DIVESTITURES

On September 30, 2011, the Company acquired the business, excluding fixed assets, of Humber Valley Bakery, a small fresh bakery in Newfoundland for $0.6 million, with the value assigned to intangibles and customer relationships. The Company incorporated the production into its existing facilities.

On April 11, 2011, the Company completed the sale of a bakery facility in Cumbria, U.K., which resulted in cash restructuring costs of $0.3 million.

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprised its sandwich product line to Premium Brands Inc., a Canadian manufacturer of food products, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million.

CAPITAL RESOURCES

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high sales volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements are funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next 12 months.

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide funding and surplus liquidity.

On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf Foods that bears interest based on short-term interest rates. The new credit facility replaced the Company's $250.0 million revolving credit facility that matured on June 30, 2012. Both facilities are unsecured and subject to certain financial covenants. As at December 31, 2012 the Company was in compliance with all of its financial covenants.

As at December 31, 2012, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $94.9 million (2011: $273.8 million), and available cash of $90.4 million (2011: $56.1 million). There were $11.2 million in letters of credit outstanding as at December 31, 2012 (2011: $9.8 million).

To access competitively priced financing, and to further diversify its funding sources, the Company operates a three-year committed accounts receivable securitization facility. Under the facility, the Company sells certain accounts receivable, with very limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AA-. The receivables are sold at a discount to face value based on prevailing money market rates. At year end, the Company had $95.3 million (2011: $91.1 million) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $51.2 million (2011: $45.3 million) and a note receivable in the amount of $44.1 million (2011: $45.8 million). The maximum amount available to the Company under this program is $60.0 million. The facility expires in October 2013 and Management expects to renew the facility prior to its expiration date.

The securitization facility is subject to certain restrictions and requires the maintenance of certain covenants. The Company was in compliance with all of the requirements of the facility during the year 2012. This facility was accounted for as an off-balance sheet transaction under International Financial Reporting Standards ("IFRS"). If the facility was terminated, the Company would recognize the securitized amounts on the consolidated balance sheet and would consider alternative financing if required.

CAPITAL EXPENDITURES

Capital expenditures in 2012 were $44.5 million, compared to $112.5 million last year. A significant portion of the spending in 2011 was related to the construction of the new fresh bakery in Hamilton, Ontario.

CASH FLOW AND FINANCING

Cash balances, net of debt, were $87.1 million at the end of 2012, compared to $52.0 million as at December 31, 2011. The increase in cash for the year is mainly due to cash generated from operations offset by increased dividend payments and investment in property and equipment.

Cash Flow from Operating Activities

Cash flow from continuing operations in 2012 was $109.1 million compared to $103.1 million last year. The increase is mainly attributable to higher Adjusted Operating Earnings.

Cash Flow from Financing Activities

Cash flow from financing activities was an outflow of $36.5 million in 2012 compared to an outflow of $16.8 million last year, due to an increase in the rate of the quarterly dividend payment compared to the prior year.

Cash Flow from Investing Activities

Cash flow from investing activities was an outflow of $38.3 million in 2012 compared to an outflow of $106.9 million last year, as a result of decreased capital expenditures primarily related to the completion of the new bakery facility in Hamilton, Ontario.

CONTRACTUAL OBLIGATIONS

The following is a summary of certain of the Company's material contractual obligations as at December 31, 2012:

Payments due by fiscal year:

($ millions)	**Total**	2013	2014	2015	2016	2017	Thereafter
Long-term debt[(i)]	**$ 3.3**	$ 0.3	$ 0.4	$ 0.4	$ 0.4	$ 1.8	$ –
Lease obligations	**62.6**	19.1	14.1	9.7	6.1	3.8	9.8
Total contractual obligations	**$ 65.9**	$ 19.4	$ 14.5	$ 10.1	$ 6.5	$ 5.6	$ 9.8

(i) *Does not include accounts payable and accruals, notes payable due to Maple Leaf, dividends payable, and contractual interest payments on long-term debt.*

As at December 31, 2012, the Company had entered into construction contracts of $0.4 million (2011: $8.8 million) relating to the new bakery in Hamilton, Ontario.

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program for at least the next 12 months. Additional details concerning financing are set out in Notes 12 and 18 in the consolidated financial statements.

FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Through the normal course of its business, the Company is exposed to financial and market risks that have the potential to affect its operating results. In order to manage these risks, the Company operates under risk management policies and guidelines which govern the hedging of price and market risk in the foreign exchange, interest rate, and commodity markets, and funding and investing activities.

The Company engages in hedging to manage price and market risk associated with core operating exposures, and does not engage in significant trading activity of a speculative nature.

The Company's Risk Management Committee meets frequently to discuss current market conditions, and review current hedging programs and trading activity, and to approve any new hedging or trading strategies.

In order to limit the impact of market price fluctuations on operating results, core hedging programs are designated as hedging relationships and managed as part of the Company's hedge accounting portfolio.

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt or internal cash flows.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment-grade credit pricing and terms.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily Net Debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

For the year ended December 31, 2012, total equity increased by $21.9 million to $685.5 million. During the same period, total cash and cash equivalents net of debt increased by $35.1 million from an asset position of $52.0 million to $87.1 million.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2012 approximately $0.5 million (2011: $0.6 million) of the Company's accounts receivable were greater than 60 days past due, primarily due to timing issues related to a process change. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures. As at December 31, 2012, the Company has recorded an allowance for doubtful accounts of nil (2011: $1.9 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The Company's three largest customers comprise approximately 34.7% (2011: 41.0%) of consolidated pre-securitized accounts receivable at December 31, 2012 and the two largest customers comprise approximately 30.4% (2011: 30.8%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A- or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize re-financing risk.

As at December 31, 2012, the Company had available undrawn committed credit of $48.4 million (2011: $247.6 million) under the terms of its principal credit facility with Maple Leaf.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company uses interest rate swaps, from time to time, to mitigate the risk from variable cash flows including the interest component associated with the securitization program by effectively converting certain variable rate borrowings to fixed-rate borrowings.

As at December 31, 2012, 96.9% (2011: 96.7%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates. The Company enters into currency derivative agreements to manage its current and anticipated exposures in the foreign exchange markets.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars. The primary currency to which the Company is exposed is the U.S. dollar through the purchase of wheat and through its U.S. operations.

The Company uses foreign exchange contracts to manage foreign exchange exposures. Qualifying derivative contracts in U.S. dollars are designated as hedges within the Company's hedge accounting portfolio, and are accounted for as cash flow hedges.

Commodity Price Risk

The Company is directly exposed to price fluctuations in commodities such as wheat, other agricultural products and fuel. In order to minimize the impact of these price fluctuations on the Company's operating results, the Company may use fixed price contracts with suppliers, exchange-traded futures and options.

The Company applies the "normal purchases" classification to certain contracts that are entered into for the purpose of procuring wheat to be used in production within the normal course of business.

For a comprehensive discussion on the Company's risk management practices and derivative exposures, refer to the Financial Instruments Note 14 in the consolidated financial statements.

SHARE CAPITAL AND DIVIDENDS

In 2012, the Company declared dividends of $1.70 per qualifying common share (2011: $0.66), representing aggregate dividend declarations of $43.2 million in 2012 (2011: $16.8 million).

As of December 31, 2012, there were 25,416,812 common shares of the Company issued and outstanding.

OTHER MATTERS

On February 25, 2013, Canada Bread declared a dividend of $0.50 per share payable on April 1, 2013 to shareholders of record at the close of business on March 8, 2013. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, this dividend will be considered an Eligible Dividend for the purposes of the "Enhanced Dividend Tax Credit System".

EMPLOYEE BENEFIT PLANS

The cost of pensions and other post-retirement benefits earned by employees is actuarially determined using the projected unit credit method calculated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected health care costs. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. These estimates are determined at the beginning of the year and re-evaluated if changes in estimates and market conditions indicate that there may be a significant effect on the Company's financial statements.

During 2012, due to a decrease in both discount rates and actual asset return rates, employee benefit liabilities reflected on the Company's balance sheet were re-valued. This resulted in an increase in employee benefit liabilities of $8.8 million (2011: $19.5 million). The effect of this adjustment was recorded by a $8.8 million, $6.5 million after-tax, decrease in other comprehensive income (2011: $19.5 million, $14.4 million after-tax). The adjustment further resulted in an increase in the deferred tax asset of $2.3 million (2011: $5.1 million) and a $6.5 million decrease in retained earnings (2011: $14.4 million).

Management considers that these adjustments were the result of significant market volatility that affected the valuation of plan assets and liabilities.

The Company operates both defined contribution and defined benefit plans. The assets of the defined benefit plans are invested primarily in foreign and domestic fixed income and equity securities that are subject to fluctuations in market prices. Discount rates used to measure plan liabilities are based on long-term market interest rates. Fluctuations in these market prices and rates can impact pension expense and funding requirements.

The Company's contributions are funded through cash flows generated from operations. Management anticipates that future cash flows from operations will be sufficient to fund expected future contributions. Contributions to defined benefit plans during 2012 were $7.3 million (2011: $8.3 million).

The Company plans to contribute $13.6 million to the pension plans in 2013, inclusive of defined contribution plans and the multi-employer plans.

SUBSEQUENT EVENTS

On January 30, 2013, the Company announced plans to close a bakery in Grand Falls, New Brunswick on June 28, 2013 and a bakery in Edmonton, Alberta on March 30, 2013. The Company will incur approximately $6.3 million before taxes in restructuring costs, of which approximately $4.2 million are cash costs.

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

(Unaudited)		First quarter	Second quarter	Third quarter	Fourth quarter	Full year
Sales[i]	**2012**	**$ 370,244**	**$ 404,861**	**$ 401,494**	**$ 390,701**	**$ 1,567,300**
	2011	371,760	406,245	417,171	400,280	1,595,456
	2010	381,932	402,062	411,364	393,079	1,588,437
Net earnings (loss)[i]	**2012**	**$ 839**	**$ 26,775**	**$ 24,215**	**$ 22,371**	**$ 74,200**
	2011	(966)	14,904	30,256	7,757	51,951
	2010	12,969	20,949	14,313	13,841	62,072
Earnings (loss) per share						
Basic and diluted[i]	**2012**	**$ 0.03**	**$ 1.05**	**$ 0.95**	**$ 0.88**	**$ 2.92**
	2011	(0.04)	0.59	1.19	0.31	2.04
	2010	0.51	0.82	0.56	0.54	2.44
Adjusted EPS[i], [ii]	**2012**	**$ 0.21**	**$ 1.09**	**$ 0.96**	**$ 1.00**	**$ 3.26**
	2011	0.56	0.97	1.24	0.67	3.43
	2010	0.56	0.85	0.87	0.62	2.90

[i] *May not add due to rounding*

[ii] *Please refer to Non-IFRS Financial Measures starting on page 24*

Quarterly sales in 2012 were affected by the following significant items:

- price increases implemented during 2011 and the first quarter of 2012 in the North American frozen bakery operations
- lower sales volumes in the Company's fresh bread business
- the sale of the fresh sandwich product line at the beginning of 2011
- the Company's exit from fresh and in-store bakery bread production in the U.K. in March 2012

Quarterly net earnings in 2012 were affected by the following significant items:

- lower sales volumes in the Company's fresh bread and fresh pasta businesses
- supply chain issues experienced in the fresh pasta business
- inventory write-downs in the fresh pasta business during the first quarter of 2012
- duplicative overhead costs during the first nine months related to the Company's new fresh bakery in Hamilton, Ontario
- closure of the Walsall, U.K. facility in March 2012 related to the exit from production of certain bread categories in the U.K.
- lower raw material costs as a result of positive hedging activities
- lower selling, administrative and general management costs
- higher inflationary costs in the business
- restructuring and other related costs
- settlement of a legal claim in the second quarter of 2012 related to the Company's fresh sandwich product line which was sold in 2011.

Quarterly sales in 2011 were affected by the following significant items:

- price increases implemented to offset higher input costs
- the sale of the fresh sandwich product line at the beginning of 2011

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound, which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- lower sales volumes in the fresh bread business and frozen bakery operations in the U.S.

Quarterly net earnings in 2011 were affected by the following significant items:

- timing of price increases implemented in 2011 relative to the rise of input costs
- increased advertising and promotional spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar, which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lowered ingredient costs
- benefits from strategic and other cost reduction initiatives, including personnel reduction, network and product simplification, and the closure of a frozen bakery in Quebec
- duplicative overhead costs related to the new fresh bakery in Hamilton, Ontario
- supply chain disruptions related to the installation of SAP in the fresh bread Western Canada operations in the fourth quarter
- restructuring and other related costs
- income tax adjustments of $2.4 million in the first quarter and $9.8 million in the third quarter arising from a prior acquisition in its fresh bread business, which resulted in a lower tax rate on operating earnings in the first and third quarters of 2011

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

SUMMARY OF 2012 FOURTH QUARTER RESULTS

The following is a summary of sales by business segment:

(Unaudited)	Fourth Quarter	
($ millions)	**2012**	2011
Fresh Bakery	**$ 254.8**	$ 262.0
Frozen Bakery	**135.9**	138.3
Sales	**$ 390.7**	$ 400.3

The following is a summary of Adjusted Operating Earnings by business segment:

(Unaudited)	Fourth Quarter	
($ millions)	**2012**	2011
Fresh Bakery	**$ 24.6**	$ 19.5
Frozen Bakery	**10.8**	6.7
Adjusted Operating Earnings[(i)]	**$ 35.4**	$ 26.2

(i) *Please refer to the section entitled Reconciliation of Non-IFRS Financial Measures in the press release dated February 26, 2013 concerning the Company's financial results for the fourth quarter of 2012 for a description and reconciliation.*

Sales for the fourth quarter decreased 2.4% to $390.7 million compared to $400.3 million last year. After adjusting for the closure of a bakery in the U.K. and currency translation on sales in the U.S. and U.K., sales decreased 0.4%. Higher prices and volumes in the North American and U.K. frozen bakery businesses were offset by lower volumes and unfavourable sales mix in the fresh pasta business. Volumes in the fresh bread business were consistent with last year.

Adjusted Operating Earnings for the fourth quarter increased 35.3% to $35.4 million compared to $26.2 million last year. Earnings growth in the fresh bread and North American frozen bakery businesses was partly offset by lower earnings in the fresh pasta business, while earnings in the U.K. bakery operations were consistent with last year. Margin expansion in the fresh bread business was primarily due to increased operating efficiencies, lower duplicative overhead costs

associated with the new Hamilton bakery, and higher costs in 2011 related to the implementation of SAP in Western Canada that were not repeated. The Company also benefited from positive hedging activities that reduced raw material costs.

Net earnings increased to $22.4 million or $0.88 basic earnings per share in the fourth quarter of 2012 compared to net earnings of $7.8 million or $0.31 basic earnings per share last year. Restructuring costs in the quarter were $3.8 million (2011: $12.2 million) and related primarily to consolidation of production in Canada and in the U.K. operations.

ENVIRONMENT

The Company is committed to maintaining high standards of environmental responsibility and positive relationships in the communities where the Company operates. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Corporate Governance and Human Resources Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental experts. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to reduce the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company. However, there can be no assurance that certain events will not occur that will cause expenditures related to the environment to be significant and have a material adverse effect on the Company's financial condition or results of operations. Such events could include, but not be limited to, additional environmental regulation or the occurrence of an adverse event at one of the Company's locations.

As a food company, there are health, environmental and social issues that go beyond short-term profitability that Management believes must shape its business if the Company is to realize a sustainable future. On the environmental front, the Company is undertaking multiple initiatives in conjunction with key customers, to reduce packaging and track greenhouse gas emissions and the mileage it takes to produce and deliver food products. Increasingly, sound environmental practices are becoming a key component of maintaining a competitive advantage.

As part of its sustainability initiatives, the Company is in the final verification stages for LEED® certification at its new bakery in Hamilton, Ontario, which opened in 2011. LEED® stands for Leadership in Energy and Environmental Design and is widely recognized as a green building standard.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this document. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Systems Conversion and Standardization

The Company regularly implements process improvement initiatives to simplify and harmonize its systems and processes to optimize performance and reduce the risk of errors in financial reporting. The Company is currently undertaking an initiative to replace its information systems with SAP, an integrated ERP system. The Company has dedicated considerable resources to the implementation of SAP and carefully designed an implementation plan to reduce operational disruptions. However, there can be no guarantee that the implementation will not disrupt the Company's operations or be completed within the identified period of time and budget. In addition, there cannot be any guarantee that the implementation will improve current processes or operating results, or reduce the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

The installation of SAP and standardization of systems within the Company will create the opportunity to implement shared administration systems across the organization for the purpose of reducing costs and increasing efficiency. Such an implementation may not achieve the desired savings or efficiency, may result in disruptions to the Company's

operations, and may increase the risk of errors in financial reporting. Any of these failures could have a material adverse impact on the Company's financial condition and results of operations.

Intercompany Management Services Agreement with Maple Leaf

In 2012, the Company entered into an Intercompany Management Services Agreement with Maple Leaf replacing an agreement entered into in 1995. The agreement entered into during 2012 contains substantially similar terms and conditions as the pre-existing agreement. Under the agreement, Maple Leaf provides the Company with certain management services, including treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, marketing and consumer affairs services, product development, public relations, corporate secretarial, legal services, insurance, human resources, provision of stock awards programs, Six Sigma and access to senior Maple Leaf management for operating involvement, mergers and acquisition transactions, information system services, engineering services, and access to bulk purchasing programs. The Company believes that this arrangement enables the Company to acquire goods and services of a higher quality or lower price than would be available to the Company on a standalone basis. However, there is no assurance that these services will be more effective, that the costs will be lower, or that the Company will be more profitable as a result of this arrangement. While the agreement allows the Company to offer employment to certain management employees of Maple Leaf who were dedicated to the provision of services to the Company in the event the agreement is cancelled, there is no assurance that such employees would accept such offer of employment and in addition, there is no guarantee that if the agreement is cancelled, that such a cancellation would not be materially disruptive to the Company and its operations or result in a material financial loss.

Foreign Currencies

A significant amount of the Company's revenues and costs are either denominated in or directly linked to foreign currencies (primarily U.S. dollars). Due to the diversity of the Company's operations, normal fluctuations in other currencies do not generally have a material impact on the Company's profitability in the short-term due to either "natural hedges" and offsetting currency exposures (for example, when revenues and costs are both linked to other currencies) or ability in the near-term to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden changes in exchange rates can have and has had a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices or, where possible or necessary, reducing costs. However, these strategies may not always be successful. The Company's U.K. operations may also be affected in a similar manner, adversely or favourably, by changes in exchange rates between the U.S. and Canadian dollars, on the one hand, and the British pound on the other. Accordingly, these exchange rate fluctuations could have a material adverse effect on the Company's financial condition and results of operations.

Commodities

The Company is a purchaser of certain commodities, such as wheat and energy (fuel, natural gas and electricity), in the course of normal operations. Commodity prices are subject to fluctuation and such fluctuations are sometimes severe. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short-term but such hedges may not be successful in mitigating this commodity price risk and may, in some circumstances, subject the Company to loss. On a longer-term basis, the Company manages the risk of increases in commodities and other input costs by increasing the prices it charges to its customers. Any fluctuations in commodity prices that the Company is unable to properly hedge or mitigate could have a material adverse effect on the Company's financial condition and results of operations.

Consolidating Customer Environment

As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and changing customer requirements, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Capital Expansion Projects

The Company completed the construction of a fresh bakery in Hamilton, Ontario, designed to replace a number of smaller and older facilities. Production has been transferred from two bakeries to the new bakery in Hamilton, with one more bakery remaining to be closed and the production transferred. The closure of and transfer of production from the remaining existing facility to the new bakery presents a number of risks including: errors in the assessment of labour rates and other operating costs, failure to achieve operating cost efficiencies, delays in completion of the project, disruptions to service levels during transfer of production, loss of reputation with customers, and adverse impacts on the quality of the Company's products. As a result of the construction of this facility, the Company's operations will be more concentrated in a fewer number of facilities, resulting in the risk that any unforeseen disruption in such facilities could have a greater effect on the operations of the Company as a whole. In addition, as part of the plan, the Company has announced the closure of some existing bakeries. The closure of existing bakeries carries risks such as inaccurate assessments of the costs of decommissioning, disruptions in service during closure, and errors in the estimates of residual value of the assets. Altogether, these risks could result in a material adverse impact to the Company's financial condition and results of operations.

Food Safety and Consumer Health

The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage, accidental contamination, product tampering, consumer product liability, and the potential costs and disruptions of a product recall.

The Company's products are susceptible to contamination by disease-producing organisms or pathogens. Because these pathogens are generally found in the environment, there is a risk that they, as a result of food processing, could be present in the Company's products. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems and by maintaining prudent levels of insurance. However, the Company cannot assure that such systems, even when working effectively, will eliminate the risks related to food safety. The Company could be required to recall certain of its products in the event of contamination, adverse test results or as precautionary measures. There is also a risk that not all of the product subject to the recall will be properly identified, that the recall will not be successful or not effected in a timely manner. Any product contamination could subject the Company to product liability claims, adverse publicity and government scrutiny, investigation or intervention, resulting in increased costs and decreased sales. Any of these events could have a material adverse impact on the Company's operations and financial results.

Business Acquisitions and Divestitures

While the Company's focus has been the integration of existing operations and supply chain optimization, the Company continues to review opportunities for strategic growth through acquisitions. These acquisitions may involve large transactions or realignment of existing investments and present financial, managerial and operational challenges, which if not successfully overcome may reduce the Company's profitability. These risks include the diversion of Management's attention from existing core businesses, difficulties integrating or separating personnel and financial and other systems, and may cause adverse effects on existing business relationships with suppliers and customers, inaccurate estimates of the rate of return of acquisitions or investments, inaccurate estimates of fair value made in the accounting for acquisitions and amortization of acquired physical and intangible assets, which would reduce future reported earnings, potential loss of customers or key employees of acquired businesses and indemnities and potential disputes with the buyers or sellers. Any of these items could materially affect the Company's product sales, financial condition and results of operations.

The Company may from time to time determine that certain of its operations are not required to be owned to support its core business operations and may seek to sell an operation if it believes it can realize sufficient value from its sale. The sale may divert Management's attention from existing core businesses during the sale process, create difficulties in separating personnel and financial and other systems and create adverse effects on existing business relationships with suppliers and customers. Any of these items could materially adversely affect the Company's financial condition and result in a reduction of earnings beyond the earnings of any operations to be sold.

Regulation

The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates, including the Canadian Food Inspection Agency and the Ministry of Agriculture in Canada. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company strives to maintain compliance with all laws and regulations and maintains all permits and licenses relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations, has all necessary permits and licenses, and will be able to comply with such laws and regulations, permits and licenses in the future. Failure by the Company to comply with applicable laws and regulations and permits and licenses could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company's financial condition and results of operations. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues in food ingredients, food safety, and market and environmental regulation that, if adopted, may increase the Company's costs. There can be no assurance that additional regulation will not be enacted. If any of these or other proposals are enacted, the Company could experience a disruption in the supply or distribution of its products, increased operating costs and significant additional costs for capital improvements. The Company may be unable to pass on the cost increases associated with such increased regulatory burden to its customers without incurring volume loss as a result of higher prices. Any of these events could have a material adverse effect on the Company's financial condition and results of operations.

Legal Matters

In the normal course of its operations, the Company becomes involved in various legal actions relating to its commercial relationships, employment matters and product liabilities, among other things. The Company believes that the resolution of these claims will not have a material effect on the Company, based in part on the availability of insurance. However, the final outcome with respect to actions outstanding, pending or with respect to future claims cannot be predicted with certainty. Therefore, there can be no assurance that their resolution will not have a material adverse effect on the Company's financial condition or results of operations.

Consumer Trends

Success of the Company depends in part on the Company's ability to respond to market trends and produce innovative products that anticipate and respond to the changing tastes and dietary habits of consumers. From time to time, certain products are deemed more healthy or less healthy and this can impact consumer buying patterns. The Company's failure to anticipate, identify or react to these changes or to innovate could result in declining demand for the Company's products, which in turn could cause a material adverse effect on the Company's financial condition and results of operations.

Environmental Regulation

The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply could have serious consequences, such as criminal as well as civil penalties, liability for damages and negative publicity for the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites, or to other matters or sites, will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities may have generated and disposed of waste which is or may be considered to be hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material adverse effect on the Company's financial condition and results of operations.

Employment Matters

The Company and its subsidiaries have approximately 6,400 full- and part-time employees, which includes salaried and union employees, many of whom are covered by collective agreements. These employees are located in various jurisdictions around the world, each such jurisdiction having differing employment laws and practices and differing liabilities for employment violations, which may result in punitive or extraordinary damages. While the Company maintains systems and procedures to comply with the applicable requirements, there is a risk that failures or lapses by individual managers could result in a violation or cause of action that could have a material adverse effect on the Company's financial condition and results of operations. Furthermore, if a collective agreement covering a significant number of employees or involving certain key employees were to expire or otherwise cease to have effect leading to a work stoppage, there can be no assurance that such work stoppage would not have a material adverse effect on the Company's financial condition and results of operations. The Company's success is also dependent on its ability to recruit and retain qualified personnel. The loss of one or more key personnel could have a material adverse effect on the Company's financial condition and results of operations.

Pension Plan Assets and Liabilities

In the normal course of business, the Company provides post-retirement pension benefits to its employees under both defined contribution and defined benefit pension plan arrangements. The funded status of the plans significantly affects the net periodic benefit costs of the Company's pension plans and the ongoing funding requirements of those plans. Among other factors, changes in interest rates, mortality rates, early retirement rates, investment returns and the market value of plan assets can affect the level of plan funding, increase the Company's future funding requirements and cause volatility in the net periodic pension cost and the Company's financial results. Any increase in pension expense or funding requirements could have a material adverse impact on the Company's financial condition and results of operations.

Direct Store Delivery Disruptions

A significant portion of the Company's Fresh Bakery products are distributed through direct store delivery systems using independent distributors. Although appropriate contractual arrangements are in place with these distributors and the Company attempts to maintain good relations with its distributors, a negative change in the Company's relations with them, changes in regulations or an adverse ruling by regulatory agencies regarding the Company's independent distributorship program or claims against the Company for the actions of the independent distributors could materially affect the Company's results of operations and financial condition.

Competitive Industry Environment

The food industry is intensely competitive and in many product categories in which the Company operates there are low barriers to entry. Competition is based on product availability, product quality, price, effective promotions and the ability to target changing consumer preferences. The Company experiences price pressure from time to time as a result of a competitor's promotional efforts and in product categories and markets characterized by low capacity utilization. Increased competition could result in reduced sales, margins, profits and market share, all of which could have a material adverse impact on the Company's financial condition and results of operations.

Product Pricing

The Company's profitability is dependent in large part on the Company's ability to make pricing decisions regarding its products that on one hand encourage consumers to buy yet on the other hand recoup development and other costs associated with that product. Products that are priced too high will not sell and products priced too low will lower the Company's profit margins. Accordingly, any failure by the Company to properly price its products could have a material adverse effect on the Company's financial condition and results of operations.

Supply Chain Management

Successful management of the Company's supply chain is critical to the Company's success. Insufficient supply of products threatens the Company's ability to meet customer demands while over capacity threatens the Company's ability to generate competitive profit margins. Accordingly, any failure by the Company to properly manage the Company's supply chain could have a material adverse effect on the Company's financial condition and results of operations.

Strategic Risk Management

Successful identification and management of the strategic risks facing the Company from time to time is critical to the Company's success. Failure to properly adapt to changes in strategic risks (such as changes in technology, the food industry, customers, consumers and competitors, among other things) could have a material adverse effect on the Company's financial condition and results of operations.

CRITICAL ACCOUNTING ESTIMATES

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are discussed below:

Long-lived Assets Valuation

The Company performs impairment testing on its long-lived assets annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management judgment is involved in determining if there are circumstances indicating that testing for impairment is required, and in determining the grouping of assets to identify their Cash Generating Units ("CGU") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU or CGU group to its carrying value. The recoverable amount is defined as the higher of: (i) value in use; or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgment and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Provisions for Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code, or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan assets and liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized employee benefit liabilities and comprehensive income (loss) will be affected.

Significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and benefit plan expenses are as follows:

	2012	2011
Weighted average discount rate used to calculate net benefit plan expense	**4.50%**	5.00%
Weighted average discount rate used to calculate year-end benefit obligation	**3.75%**	4.50%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**6.00%**	6.50%

A 1% change in health care cost trend would not have a significant impact on the year-end obligation or the 2012 current service and interest costs.

($ thousands)	1% increase	1% decrease
Effect on end-of-year obligation	$ 76	$ (68)
Aggregate of 2012 current service cost and interest cost	$ 3	$ (3)

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, earnings and comprehensive income (loss).

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings, and comprehensive income (loss).

RECENT ACCOUNTING PRONOUNCEMENTS NOT YET ADOPTED

Financial Instruments – Recognition and Measurement

In October 2010, the International Accounting Standards Board ("IASB") published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial

liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to off-set as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The Company will include the additional disclosures required by the amendments to IFRS 7 in its 2013 financial statements. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements,* that addresses consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31, *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures*, has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adoption of IFRS 10, IFRS 11 and amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The impact of the adoption of IFRS 10, IFRS 11 and IFRS 12 and the amendments to IAS 27 and IAS 28 is not expected to be material to the financial statements, and the additional disclosures required by these standards will be included in its 2013 financial statements.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The Company will provide required additional disclosures on fair valued items beginning with its first quarter 2013 financial statements.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. These amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt these amendments in its financial statements for the annual period beginning on January 1, 2013. The Company will change the presentation of its consolidated statement of other comprehensive income starting in the first quarter of 2013.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other changes and additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013.

If the Company had adopted the portion of the new standard relating to the calculation of expected return on plan assets being based on the rate used to discount the defined benefit obligation, and administrative fees being expensed as incurred in 2012, the impact would have been an increase in pre-tax pension expense of $3.6 million ($2.7 million after-tax) for the 2012 fiscal year. This would be offset through other comprehensive income (loss). Management is in the process of assessing the full impact of the remaining amendments to this standard.

DISCLOSURE CONTROLS AND INTERNAL CONTROL OVER FINANCIAL REPORTING

The Company's disclosure controls and procedures are designed to provide reasonable assurance that material information relating to the Company, including its consolidated subsidiaries, is accumulated and communicated to Management in a timely manner so that information required to be disclosed by the Company under securities legislation is recorded, processed, summarized and reported within the time periods specified in applicable securities legislation.

The Company's Management, under the direction and supervision of the Company's Chief Executive Officer and Chief Financial Officer, is also responsible for establishing and maintaining internal control over financial reporting. These controls are designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS.

The Company's Chief Executive Officer and Chief Financial Officer, have evaluated, or caused to be evaluated under their supervision, the effectiveness of the Company's internal control over financial reporting and disclosure controls and procedures as at December 31, 2012 and have concluded that such controls and procedures are effective.

In addition, there have been no changes in the Company's internal control over financial reporting that occurred during the period beginning on January 1, 2012 and ended on December 31, 2012 that have materially affected, or are reasonably likely to materially affect, the Company's internal control over financial reporting.

NON-IFRS FINANCIAL MEASURES

The Company uses the following non-IFRS measures: Adjusted Operating Earnings, Adjusted Earnings per Share, Net Debt and Return on Net Assets ("RONA"). Management believes that these non-IFRS measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings

Adjusted Operating Earnings, a non-IFRS measure, is used by Management to evaluate financial operating results, and reflects all sales and costs representative of on-going operational activities. It is defined as earnings from operations before restructuring and other related costs and other income (expense). The table below provides a reconciliation of net earnings as reported under IFRS in the audited consolidated statement of earnings for the years then ended to Adjusted Operating Earnings. Management believes that this is the most appropriate basis on which to evaluate operating results, as they are representative of operational results.

	December 31, 2012			
($ thousands)	**Fresh Bakery**	**Frozen Bakery**	**Unallocated costs**	**Consolidated**
Net earnings				**$ 74,200**
Income taxes				**30,683**
Earnings from operations before income taxes				**$ 104,883**
Interest expense				**1,547**
Earnings from operations before interest and income taxes	**$ 88,116**	**$ 18,314**	**$ –**	**$ 106,430**
Other (income) expense	**(1,676)**	**41**	**–**	**(1,635)**
Restructuring and other related costs	**4,731**	**6,342**	**–**	**11,073**
Adjusted Operating Earnings	**$ 91,171**	**$ 24,697**	**$ –**	**$ 115,868**

	December 31, 2011			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 51,951
Income taxes				10,845
Earnings from operations before income taxes				$ 62,796
Interest expense				1,052
Earnings from operations before interest and income taxes	$ 85,046	$ (21,198)	$ –	$ 63,848
Other (income) expense	(49)	(365)	–	(414)
Restructuring and other related costs	14,860	31,497	–	46,357
Adjusted Operating Earnings	$ 99,857	$ 9,934	$ –	$ 109,791

	December 31, 2010			
($ thousands)	Fresh Bakery	Frozen Bakery	Unallocated costs	Consolidated
Net earnings				$ 62,072
Income taxes				25,212
Earnings from operations before income taxes				$ 87,284
Interest expense				2,891
Earnings from operations before interest and income taxes	$ 87,639	$ 8,412	$ (5,876)	$ 90,175
Other (income) expense	(57)	–	5,876	5,819
Restructuring and other related costs	12,598	2,950	–	15,548
Adjusted Operating Earnings	$ 100,180	$ 11,362	$ –	$ 111,542

Adjusted Earnings per Share

Adjusted Earnings per Share, a non-IFRS measure, is used by Management to evaluate underlying financial operating results. It is defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. The table below provides a reconciliation of basic earnings per share as reported under IFRS in the audited consolidated statements of earnings for the years then ended to Adjusted Earnings per Share. Management believes this is the most appropriate basis on which to evaluate financial results as they are representative of operational results.

	December 31,		
($ per share)	**2012**	2011	2010
Basic earnings per share	**$ 2.92**	$ 2.04	$ 2.44
Restructuring and other related costs[(i)]	**$ 0.34**	$ 1.39	$ 0.46
Adjusted Earnings per Share	**$ 3.26**	$ 3.43	$ 2.90

(i) *Includes per share impact of restructuring and other related costs, net of tax.*

Earnings Before Interest, Taxes, Depreciation and Amortization

EBITDA is calculated as earnings from operations before restructuring and other related costs and before interest and income taxes plus depreciation and intangible asset amortization. The Company measures its credit quality using a number of metrics, primarily net debt to EBITDA and EBITDA to interest expense.

Net Debt (Cash)

The following table reconciles Net Debt (Cash) as disclosed in this Management's Discussion and Analysis to IFRS amounts in the audited consolidated balance sheets as at the dates indicated below. The Company calculates Net Debt as long-term debt and bank indebtedness, less cash and cash equivalents.

	December 31,		
($ thousands)	**2012**	2011	2010
Bank indebtedness	**$ –**	$ 3,153	$ 7,777
Current portion of long-term debt	**358**	2,452	2,332
Long-term debt	**2,921**	1,634	1,629
Sub-total	**$ 3,279**	$ 7,239	$ 11,738
Cash and cash equivalents	**(90,415)**	(59,223)	(84,401)
Net Debt (Cash)	**$ (87,136)**	$ (51,984)	$ (72,663)

Return on Net Assets (RONA)

RONA is calculated by dividing tax-effected earnings from operations before restructuring and other related costs and interest by average monthly net assets. Net assets are defined as total assets less cash, future tax assets and non-interest bearing liabilities. Management believes that RONA is an appropriate basis upon which to evaluate long-term financial performance.

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, "forward-looking information" within the meaning of applicable securities laws. These statements are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by Management. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking information in this document includes, but is not limited to, statements concerning expectations regarding the use of derivatives, futures and options, expectations regarding the timing and amount of capital investments, expectations regarding the timing and cost of old facility closures and new facility openings, the expected use of cash balances, source of funds for ongoing business requirements including renewal of existing securitization facilities, capital investments and debt repayment, expectations regarding LEED® certification, expectations regarding the impact of new accounting standards, expectations regarding sufficiency of the allowance for

uncollectible accounts and expectations regarding pension plan performance and future pension liabilities and contributions. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking information. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, U.S. and U.K. economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking information, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking information include, among other things:

- the risks associated with changes in the Company's shared systems and processes
- the risks associated with the management service agreement with Maple Leaf
- the Company's exposure to currency exchange risks
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options
- the impact of international events on commodity prices and the free flow of goods
- the risks associated with a consolidating retail environment
- the risks related to capital expansion projects
- the risks posed by food contamination, consumer liability and product recalls
- the risks related to acquisitions and divestitures
- the risks posed by compliance with extensive government regulation
- the risks posed by litigation
- the impact of changes in consumer tastes and buying patterns
- the impact of extensive environmental regulation and potential environmental liabilities
- the risks associated with complying with differing employment laws and practices globally, the potential for work stoppages due to non-renewal of collective agreements and recruiting and retaining qualified personnel
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates
- the risks associated with the Company's independent distributors
- the risks posed by competition
- the risks associated with pricing the Company's products
- the risks associated with managing the Company's supply chain
- the risks associated with failing to identify and manage the strategic risks facing the Company.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" presented previously in this document. The reader should review such section in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking information, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90.0% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2012 sales of $1.6 billion and employs approximately 6,400 people at its operations across North America and in the United Kingdom.

Independent Auditors' Report

To the Shareholders of Canada Bread Company, Limited:

We have audited the accompanying consolidated financial statements of Canada Bread Company, Limited, which comprise the consolidated balance sheets as at December 31, 2012 and December 31, 2011, the consolidated statements of earnings, comprehensive income, changes in shareholders' equity and cash flows for the years then ended and notes, comprising a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained in our audits is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the consolidated financial statements present fairly, in all material respects, the consolidated financial position of Canada Bread Company, Limited as at December 31, 2012 and December 31, 2011, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with International Financial Reporting Standards.

KPMG LLP

Chartered Accountants, Licensed Public Accountants
Toronto, Canada

February 25, 2013

Consolidated Balance Sheets

As at December 31, *(In thousands of Canadian dollars)*	**2012**	2011
Assets		
Current assets		
Cash and cash equivalents	**$ 90,415**	$ 59,223
Accounts receivable *(Note 4)*	**49,435**	56,522
Notes receivable *(Note 4)*	**44,063**	45,847
Inventories *(Note 5)*	**62,766**	60,048
Income taxes recoverable	**–**	2,162
Prepaid expenses and other assets	**4,972**	5,218
	$ 251,651	$ 229,020
Property and equipment *(Note 6)*	**410,479**	425,944
Investment property *(Note 7)*	**9,103**	8,415
Other long-term assets	**4,994**	4,456
Deferred tax asset *(Note 17)*	**17,874**	17,917
Goodwill *(Note 9)*	**264,243**	266,013
Intangible assets *(Note 10)*	**11,647**	12,710
Total assets	**$ 969,991**	$ 964,475
Liabilities And Shareholders' Equity		
Current liabilities		
Bank indebtedness *(Note 12)*	**$ –**	$ 3,153
Accounts payable and accruals	**169,431**	185,811
Provisions *(Note 11)*	**9,928**	23,066
Due to Maple Leaf Foods Inc. *(Note 19)*	**4,830**	2,451
Dividends payable	**12,708**	5,083
Income taxes payable	**2,008**	–
Current portion of long-term debt *(Note 12)*	**358**	2,452
	$ 199,263	$ 222,016
Long-term debt *(Note 12)*	**2,921**	1,634
Deferred tax liability *(Note 17)*	**19,998**	21,784
Employee benefits *(Note 8)*	**56,011**	50,434
Provisions *(Note 11)*	**6,277**	5,005
Total liabilities	**$ 284,470**	$ 300,873
Shareholders' equity		
Share capital *(Note 13)*	**$ 142,965**	$ 142,965
Retained earnings	**555,322**	530,852
Accumulated other comprehensive loss *(Note 13)*	**(12,766)**	(10,215)
Total shareholders' equity	**$ 685,521**	$ 663,602
Total liabilities and shareholders' equity	**$ 969,991**	$ 964,475

Contingencies and commitments *(Note 18)*

See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board:



RICHARD A. LAN
DIRECTOR



JOHN F. PETCH
DIRECTOR

Consolidated Statements of Earnings

Years ended December 31, *(In thousands of Canadian dollars, except share amounts)*	**2012**	2011
Sales	**$ 1,567,300**	$ 1,595,456
Cost of goods sold	**1,255,760**	1,284,432
Gross margin	**$ 311,540**	$ 311,024
Selling, general and administrative expenses	**195,672**	201,233
Earnings before the following:	**$ 115,868**	$ 109,791
Restructuring and other related costs *(Note 11)*	**(11,073)**	(46,357)
Other income (expense) *(Note 15)*	**1,635**	414
Earnings before interest and income taxes	**$ 106,430**	$ 63,848
Interest expense *(Note 16)*	**1,547**	1,052
Earnings before income taxes	**$ 104,883**	$ 62,796
Income taxes *(Note 17)*	**30,683**	10,845
Net earnings	**$ 74,200**	$ 51,951
Earnings per share attributable to common shareholders Basic and diluted earnings per share	**$ 2.92**	$ 2.04
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Comprehensive Income

Years ended December 31, *(In thousands of Canadian dollars)*	**2012**	2011
Net earnings	**$ 74,200**	$ 51,951
Other comprehensive income (loss)		
Change in accumulated foreign currency translation adjustment	**(1,980)**	3,307
Change in unrealized gains and losses on cash flow hedges	**(571)**	574
Change in actuarial gains and losses	**(6,532)**	(14,448)
	$ (9,083)	$ (10,567)
Comprehensive income	**$ 65,117**	$ 41,384

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Changes in Shareholders' Equity

(In thousands of Canadian dollars)	**Share capital**	**Retained earnings**	**Total accumulated other comprehensive loss**	**Total shareholders' equity**
Balance at December 31, 2011	**$ 142,965**	**$ 530,852**	**$ (10,215)**	**$ 663,602**
Net earnings	**–**	**74,200**	**–**	**74,200**
Other comprehensive loss	**–**	**(6,532)**	**(2,551)**	**(9,083)**
Dividends declared ($1.70 per share)	**–**	**(43,198)**	**–**	**(43,198)**
Balance at December 31, 2012	**$ 142,965**	**$ 555,322**	**$ (12,766)**	**$ 685,521**

	Share capital	Retained earnings	Total accumulated other comprehensive loss	Total shareholders' equity
Balance at December 31, 2010	$ 142,965	$ 510,126	$ (14,096)	$ 638,995
Net earnings	–	51,951	–	51,951
Other comprehensive income (loss)	–	(14,448)	3,881	(10,567)
Dividends declared ($0.66 per share)	–	(16,777)	–	(16,777)
Balance at December 31, 2011	$ 142,965	$ 530,852	$ (10,215)	$ 663,602

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Cash Flows

Years ended December 31, *(In thousands of Canadian dollars)*	**2012**	2011
CASH PROVIDED BY (USED IN):		
Operating activities		
Net earnings	**$ 74,200**	$ 51,951
Add (deduct) items not affecting cash:		
Depreciation and amortization	**49,525**	47,839
Deferred income taxes	**2,080**	(6,295)
Income tax current	**28,603**	17,140
Interest expense	**1,547**	1,052
(Gain) loss on sale of long-lived assets	**(478)**	232
Change in provision for restructuring and other related costs	**(6,772)**	32,232
Decrease in pension liability	**(3,251)**	–
Net income taxes paid	**(24,265)**	(20,203)
Interest paid	**(1,533)**	(750)
Other	**903**	(1,817)
Change in non-cash operating working capital	**(11,452)**	(18,287)
Cash provided by operating activities	**$ 109,107**	$ 103,094
Financing activities		
Dividends paid	**$ (35,573)**	$ (16,777)
Repayment of long-term debt	**(921)**	–
Cash used in financing activities	**$ (36,494)**	$ (16,777)
Investing activities		
Additions to long-term assets	**$ (44,537)**	$ (112,517)
Capitalization of interest expense to long-term assets	**–**	(119)
Proceeds from sale of long-term assets	**6,269**	5,830
Change in intangible assets	**–**	(65)
Cash used in investing activities	**$ (38,268)**	$ (106,871)
Increase (decrease) in cash and cash equivalents	**$ 34,345**	$ (20,554)
Net cash and cash equivalents, beginning of period	**56,070**	76,624
Net cash and cash equivalents, end of period	**$ 90,415**	$ 56,070
Net cash and cash equivalents is comprised of:		
Cash and cash equivalents	**$ 90,415**	$ 59,223
Bank indebtedness	**–**	(3,153)
Net cash and cash equivalents, end of period	**$ 90,415**	$ 56,070

See accompanying Notes to the Consolidated Financial Statements

Notes to the consolidated financial statements

(Tabular amounts in thousands of Canadian dollars, unless otherwise indicated)
Years ended December 31, 2012 and 2011

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the baking industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. The address of the Company's registered office is 10 Four Seasons Place, Etobicoke, Ontario, M9B 6H7 Canada. The consolidated financial statements of the Company as at and for the year ended December 31, 2012 include the accounts of the Company and its subsidiaries. Canada Bread is 90.0% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. BASIS OF PREPARATION

(a) Statement of Compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS") as issued by the International Accounting Standards Board ("IASB") and using the accounting policies described herein.

The consolidated financial statements were authorised for issue by the Board of Directors on February 25, 2013.

(b) Basis of Measurement

The consolidated financial statements have been prepared on the historical cost basis except for certain financial instruments and defined benefit plan assets and liabilities that are stated at fair value.

(c) Functional and Presentation Currency

The consolidated financial statements are presented in Canadian dollars, which is the Company's functional currency.

(d) Use of Estimates and Judgments

The preparation of consolidated financial statements in accordance with IFRS requires Management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual amounts may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognized in the period in which the estimates are revised and in any future periods affected.

Judgments included in the financial statements are decisions made by Management, based on an analysis of relevant information available at the time the decision is made. Judgments relate to application of accounting policies, and decisions related to the measurement, recognition and disclosure of financial amounts.

Information about significant areas of estimation uncertainty and critical judgments in applying accounting policies that have the most significant effect on the amounts recognized in the consolidated financial statements are included both below and in the statement notes relating to items subject to significant estimate uncertainty.

Long-lived Assets Valuation

The Company performs impairment testing on its long-lived assets annually for goodwill and intangible assets, and when circumstances indicate that there may be impairment, for other long-lived assets. Management judgment is involved in determining if there are circumstances indicating that testing for impairment is required, and in determining the grouping of assets to identify their Cash Generating Units ("CGU") for the purpose of impairment testing.

The Company assesses impairment by comparing the recoverable amount of a long-lived asset, CGU or CGU group to its carrying value. The recoverable amount is defined as the higher of (i) value in use, or (ii) fair value less cost to sell. The determination of the recoverable amount involves Management judgment and estimation.

The values associated with intangible assets and goodwill involve significant estimates and assumptions, including those with respect to future cash inflows and outflows, discount rates and asset lives. These estimates and assumptions could affect the Company's future results if the current estimates of future performance and fair values change. These determinations will affect the amount of amortization expense on definite life intangible assets recognized in future periods.

Provisions for Inventory

Management makes estimates of the future customer demand for products when establishing appropriate provisions for inventory. In making these estimates, Management considers product life of inventory and the profitability of recent sales of inventory. In many cases, product sold by the Company turns quickly and inventory on-hand values are low, thus reducing the risk of material misstatement. However, in the fresh business, code, or "best before" dates are very important in the determination of realizable value, and inventory values are significant. Management ensures that systems are in place to highlight and properly value inventory that may be approaching code dates. To the extent that actual losses on inventory differ from those estimated, inventory, net earnings, and comprehensive income (loss) will be affected.

Trade Merchandise Allowances and Other Trade Discounts

The Company provides for estimated payments to customers based on various trade programs and contracts that often include payments that are contingent upon attainment of specified sales volumes. Significant estimates used to determine these liabilities include the projected level of sales volume for the relevant period and the historical promotional expenditure rate compared to contracted rates. These arrangements are complex and there are a significant number of customers and products affected. Management has systems and processes in place to estimate and value these obligations. To the extent that payments on trade discounts differ from estimates of the related liability, accrued liabilities, net earnings, and comprehensive income (loss) will be affected.

Employee Benefit Plans

The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates and expected health care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan assets and liabilities. Management employs external experts to advise the Company when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. To the extent that these estimates differ from those realized employee benefit liabilities and comprehensive income (loss) will be affected.

Income Taxes

Provisions for income taxes are based on domestic and international statutory income tax rates and the amount of income earned in the jurisdictions in which the Company operates. Significant judgment is required in determining income tax provisions and the recoverability of deferred tax assets. The calculation of current and deferred income tax balances requires Management to make estimates regarding the carrying values of assets and liabilities that include estimates of future cash flows and earnings related to such assets and liabilities, the interpretation of income tax legislation in the jurisdictions in which the Company operates, and the timing of reversal of temporary differences. The Company establishes additional provisions for income taxes when, despite Management's opinion that the Company's tax positions are fully supportable, there is sufficient complexity or uncertainty in the application of legislation that certain tax positions may be reassessed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances.

Provisions

The Company evaluates all provisions at each reporting date. These provisions can be significant and are prepared using estimates of the costs of future activities. In certain instances, Management may determine that these provisions are no longer required or that certain provisions are insufficient as new events occur or as additional information is obtained. These provisions are separately identified and disclosed in the Company's consolidated financial statements. Changes to these estimates may affect the value of provisions, earnings and other comprehensive income (loss).

Depreciation and Amortization

The Company's property and equipment and definite life intangible assets are depreciated and amortized on a straight-line basis, taking into account the expected useful lives of the assets and residual values. Changes to these estimates may affect the carrying value of these assets, net earnings, and comprehensive income (loss).

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these consolidated financial statements.

(a) Principles of Consolidation

These consolidated financial statements include the accounts of the Company and its subsidiaries from the date that control commences until the date that control ceases. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

All intercompany accounts and transactions have been eliminated on consolidation.

(b) Translation of Foreign Currencies

The accounts of the Company are presented in Canadian dollars. Transactions in foreign currencies are translated at the actual rates of exchange. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the Canadian dollar at the exchange rate at that date. Foreign exchange differences arising on translation are recognized in net earnings except for financial assets and liabilities designated as hedges of the net investment in foreign operations or qualifying cash flow hedges, which are recognized in other comprehensive income. Non-monetary assets and liabilities that are measured at historical cost are translated using the exchange rate at the date of the transaction.

The financial statements of foreign subsidiaries whose functional currency is not the Canadian dollar are translated into Canadian dollars using the exchange rate in effect at the period-end for assets and liabilities and the average exchange rates for the period for revenue, expenses and cash flows. Foreign exchange differences arising on translation are recognized in accumulated other comprehensive income in shareholders' equity.

When a foreign operation is disposed of, the relevant amount in the cumulative foreign currency translation differences is transferred to profit or loss as part of the gain or loss on disposal. On the partial disposal of a subsidiary that includes a foreign operation, the relevant portion of the cumulative foreign currency translation differences is re-attributed to non-controlling interest. In any other partial disposal of a foreign operation, the relevant portion is reclassified to profit or loss.

Foreign exchange gains and losses arising from a receivable or payable to a foreign operation, the settlement of which is neither planned nor likely to occur in the foreseeable future and which in substance is considered to form part of the net investment in the foreign operations, are recognized in other comprehensive income in the cumulate foreign currency translation differences.

(c) Financial Instruments

The Company's financial assets and financial liabilities upon initial recognition are measured at fair value and are classified as held for trading, loans and receivables or other financial liabilities. The classification depends on the purpose for which the financial instruments were acquired and their characteristics. Held for trading is the required classification for all derivative financial instruments unless they are specifically designated within an effective hedge relationship. Held for trading financial instruments that are outside of an effective designated hedging relationship are measured at fair value with changes in fair value recognized in consolidated statements of earnings in the period in which such changes arise. Loans and receivables and other financial liabilities are initially recorded at fair value and are subsequently measured at amortized cost.

Assets and liabilities carried at fair value must be classified using a three-level hierarchy that reflects the significance and transparency of the inputs used in making the fair value measurements. Each level is based on the following:

Level 1 – inputs are unadjusted quoted prices of identical instruments in active markets.

Level 2 – inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 – one or more significant inputs used in a valuation technique are unobservable in determining fair values of the instruments.

Determination of fair value and the resulting hierarchy requires the use of observable market data whenever available. The classification of a financial instrument in the hierarchy is based upon the lowest level of input that is significant to the measurement of fair value.

Financial assets are assessed at each reporting date to determine whether there is any objective evidence of impairment. A financial asset is considered to be impaired if objective evidence indicates that one or more events have had a negative effect on the estimated future cash flows of that asset, with impairment losses recognized in the consolidated statements of earnings. If in a subsequent period, the impairment loss decreases, the previously recognized impairment is reversed to the extent of the impairment.

Transaction costs, other than those related to financial instruments classified as fair value through profit or loss, which are expensed as incurred, are capitalized to the carrying amount of the instrument and amortized using the effective interest method.

(d) Hedge Accounting

The Company uses derivatives and other non-derivative financial instruments to manage its exposures to fluctuations in interest rates, foreign exchange rates and commodity prices.

At the inception of a hedging relationship, the Company designates and formally documents the relationship between the hedging instrument and the hedged item, its risk management objective and its strategy for undertaking the hedge. The documentation identifies the specific asset, liability or anticipated cash flows being hedged, the risk that is being hedged, the type of hedging instrument used and how effectiveness will be assessed.

The Company also formally assesses, both at inception and at least quarterly thereafter, whether or not the derivatives that are used in hedging transactions are highly effective in offsetting the changes attributable to the hedged risks in the fair values or cash flows of the hedged items. If a hedge relationship becomes ineffective, it no longer qualifies for hedge accounting and any subsequent change in the fair value of the hedging instrument is recognized in earnings.

When hedge accounting is appropriate, the hedging relationship is designated as a cash flow hedge, a fair value hedge or a hedge of foreign currency exposure of a net investment in a self-sustaining foreign operation.

In a cash flow hedge, the change in fair value of the hedging instrument is recorded, to the extent it is effective, in other comprehensive income until the hedged item affects net earnings.

In a fair value hedge, the change in fair value of the hedging derivative is offset in the consolidated statements of earnings by the change in fair value of the hedged item relating to the hedged risk.

In a net investment hedge, the change in fair value of the hedging instrument is recorded, to the extent effective, directly in other comprehensive income. These amounts are recognized in earnings when the corresponding accumulated other comprehensive income (loss) from self-sustaining foreign operations are recognized in earnings.

Hedge ineffectiveness is measured and recorded in current period earnings in the consolidated statements of earnings. When either a fair value hedge or cash flow hedge is discontinued, any cumulative adjustment to either the hedged item or other comprehensive income is recognized in net earnings as the hedged item affects net earnings, or when the hedged item is derecognized. If a designated hedge is no longer effective, the associated derivative instrument is subsequently carried at fair value through net earnings without any offset from the hedged item.

Derivatives that do not qualify for hedge accounting are carried at fair value in the consolidated balance sheets, and subsequent changes in their fair value are recorded in the consolidated statements of earnings.

(e) Cash and Cash Equivalents

Cash and cash equivalents comprise cash balances, demand deposits and investments with an original maturity at the date of purchase of three months or less.

(f) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. The cost of inventory includes direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation. When circumstances that previously caused inventories to be written down below cost no longer exist or when there is clear evidence of an increase in the net realizable value, the amount of a write-down previously recorded is reversed through cost of goods sold.

(g) Impairment or Disposal of Long-lived Assets

The Company reviews long-lived assets or asset groups held and used including property and equipment and intangible assets subject to amortization, for recoverability whenever events or changes in circumstances indicate that their carrying amount may not be recoverable. Asset groups referred to as CGUs include an allocation of Corporate assets and are reviewed at their lowest level for which identifiable cash inflows are largely independent of cash inflows of other assets or groups of assets. The recoverable amount is the greater of its value in use and its fair value less cost to sell.

Value in use is based on estimates of discounted future cash flows expected to be recovered from a CGU through its use. Management develops its cash flow projections based on past performance and its expectations of future market and business developments. Once calculated, the estimated future pre-tax cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Fair value less cost to sell is the amount obtainable from the sale of an asset or CGU in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal. Costs of disposal are incremental costs directly attributable to the disposal of an asset or CGU, excluding finance costs and income tax expense.

An impairment loss is recognized in the consolidated statements of earnings when the carrying amount of any asset or its CGU exceeds its estimated recoverable amount. Impairment losses recognized in respect of CGUs are allocated first to reduce the carrying amount of any goodwill allocated to the CGU and then to reduce the carrying amount of the other assets in the CGU on a pro rata basis.

Impairment losses related to long-lived assets recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation and amortization, if no previous impairment loss had been recognized.

Long-lived assets are classified as held for sale, and are separately presented in the consolidated balance sheets, when certain criteria are met and the sale is expected to be completed within one year. Any liabilities directly associated with such assets are also separately presented in the consolidated balance sheets. These assets and liabilities, or disposal groups, are subsequently measured at the lower of their carrying amount or fair value less costs to sell. Non-current assets classified as held for sale are no longer depreciated. Any further gains or losses not previously recognized at the date the long-lived assets are classified as held for sale, shall be recognized in earnings at the date of sale.

(h) Property and Equipment

Property and equipment with the exception of land are recorded at cost less accumulated depreciation and any net accumulated impairment losses. Land is carried at cost and not depreciated. For qualifying assets, cost includes interest capitalized during the construction or development period. Construction-in-process assets are capitalized during construction and depreciation commences when the asset is available for use. Depreciation related to assets used in production is recorded in inventory and cost of goods sold, depreciation related to non-production assets is recorded through selling, general and administrative expense, and calculated on a straight-line basis, after taking into account residual values, over the following expected useful lives of the assets:

Buildings, including other components	15-40 years
Machinery and equipment	3-10 years

When parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

(i) Investment Property

Investment properties are properties owned by the Company that are held to either earn rental income, for capital appreciation, or both. The Company's investment properties include land and buildings.

Investment properties are recorded at cost less accumulated depreciation and any accumulated impairment losses, with the exception of land which is recorded at cost less any accumulated impairment losses. The depreciation policies for investment properties are consistent with those of property and equipment.

(j) Goodwill and Intangible Assets

Goodwill

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to identifiable assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the group of CGUs that are expected to benefit from the synergies of the business combination, but no lower than the level in the Company at which goodwill is monitored for internal management purposes.

Goodwill is not amortized and is tested for impairment annually in October and otherwise as required if events occur that indicate that its carrying amount may not be recoverable. Impairment of goodwill is tested at the CGU group level by comparing the carrying amount to its recoverable amount, consistent with the methodology applied in Note 3(g).

Intangible Assets

Intangible assets include brands, trademarks, delivery routes and customer relationships. Definite life intangible assets are measured at cost less accumulated amortization and any net accumulated impairment losses. Amortization is recognized in the consolidated statements of earnings on a straight-line basis over their estimated useful lives as follows:

Trademarks	10 years
Customer relationships	20-25 years

Indefinite life intangibles are tested for impairment annually in October and otherwise as required if events occur that indicate that the carrying value may not be recoverable.

Upon recognition of an intangible asset the Company determines if the asset has a definite or indefinite life. In making this determination the Company considers the expected use, expiry of agreements, the nature of the asset, and whether the value of the asset decreases over time.

(k) Employee Benefit Plans

The Company provides post-employment benefits through defined benefit and defined contribution plans.

Defined Benefit Plans

The Company accrues obligations and costs in respect of employee defined benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected unit credit method prorated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees, mortality rates, and expected health care costs. Changes in these assumptions could affect future pension expense. The fair value of plan assets is used as the basis for calculating the expected return on plan assets. The discount rate used to value the defined benefit obligation is based on high quality corporate bonds in the same currency in which the benefits are expected to be paid and with terms to maturity that, on average, match the terms of the defined benefit obligations. Past service costs arising from plan amendments are amortized on a straight-line basis over the expected remaining vesting period. To the extent that the benefits vest immediately, the expense is recognized in net earnings.

Actuarial gains and losses due to changes in defined benefit plan assets and obligations are recognized immediately in accumulated other comprehensive income (loss). When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

When the calculation results in a net benefit (asset), the recognized asset is limited to the total of any unrecognized past service costs and the present value of economic benefits available in the form of future refunds from the plan or reductions in future contributions to the plan (the "asset ceiling"). In order to calculate the present value of economic benefits, consideration is given to minimum funding requirements that apply to the plan. Where it is anticipated that the Company will not be able to recover the value of the net defined benefit asset, after considering minimum funding requirements for future services, the net defined benefit asset is reduced to the amount of the asset ceiling. The impact of the asset ceiling is recognized in comprehensive income (loss).

When the future payment of minimum funding requirements related to past service would result in a net defined benefit asset (surplus) or an increase in a surplus, the minimum funding requirements are recognized as a liability to the extent that the surplus would not be fully available as a refund or a reduction in future contributions. Re-measurement of this liability is recognized in other comprehensive income (loss) in the period in which the re-measurement occurs.

Defined Contribution Plans

The Company's obligations for contributions to employee defined contribution pension plans are recognized in the consolidated statement of earnings in the periods during which services are rendered by employees.

Multi-employer Plan

The Company participates in a multi-employer pension plan which is accounted for as a defined contribution plan. The Company does not administer this plan, but rather the administration and investment of these assets are controlled by a board of trustees consisting of union and employer representatives. The Company's responsibility to make contributions to this plan is established pursuant to its collective agreements. The contributions made by the Company to the multi-employer plan are expensed when due.

(l) Provisions

Provisions are liabilities of the Company for which the amount and/or timing of settlement is uncertain. A provision is recognized in the consolidated financial statements when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, when appropriate, the risks specific to the liability.

(m) Revenue Recognition

The majority of the Company's revenue is derived from the sale of product to retail and foodservice customers. The Company recognizes revenue from product sales at the fair value of the consideration received or receivable, net of estimated returns and an estimate of sales incentives provided to customers. Revenue is recognized when the customer takes ownership of the product, title has transferred, all the risks and rewards of ownership have transferred to the customer, recovery of the consideration is probable, the Company has satisfied its performance obligations under the arrangement, and has no ongoing involvement with the sold product. The value of sales incentives provided to customers are estimated using historical trends and are recognized at the time of sale as a reduction of revenue. Sales incentives include rebate and promotional programs provided to the Company's customers. These rebates are based on achievement of specified volume or growth in volume levels and other agreed promotional activities. In subsequent periods, the Company monitors the performance of customers against agreed upon obligations related to sales incentive programs and makes any adjustments to both revenue and sales incentive accruals, as required.

Except for fresh bread, the Company generally does not accept returns of spoiled products from customers. For product that may not be returned, the Company in certain cases provides customers with allowances to cover any damage or spoilage, and such allowances are deducted from sales at the time of revenue recognition. In the case of fresh bread, customer returns are deducted from revenue.

(n) Borrowing Costs

Borrowing costs primarily comprise of interest on the Company's indebtedness. Borrowing costs are capitalized when they are attributable to the acquisition, construction or production of a qualifying asset. The Company defines qualifying assets as any asset that requires in excess of six months to prepare for its intended use. Borrowing costs are calculated using the Company's average borrowing cost excluding the costs associated with the de-recognition of accounts receivable under the securitization program. Borrowing costs that are not attributable to a qualifying asset are expensed in the period in which they are incurred and reported within interest expense in the consolidated statements of earnings.

(o) Income Taxes

Income tax expense comprises current and deferred tax. Income tax is recognized in the consolidated statement of earnings except to the extent that it relates to a business combination, or items recognized directly in equity or in other comprehensive income.

Current tax expense represents the amount of income taxes payable in respect of the taxable profit for the period, based on tax law that is enacted or substantially enacted at the reporting date, and is adjusted for changes in estimates of tax expense recognized in prior periods. A current tax liability (or asset) is recognized for income tax payable (or paid but recoverable) in respect of all periods to date.

The Company uses the asset and liability method of accounting for income taxes. Accordingly, deferred tax assets and liabilities are recognized for the deferred tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted or substantively enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on deferred tax assets and liabilities of a change in tax rates is recognized in earnings and comprehensive income in the period in which the enactment or substantive enactment takes place. A deferred tax asset is recognized for unused tax losses, tax credits and deductible temporary differences, to the extent that it is probable that future taxable income will be available to utilize such amounts. Deferred tax assets are reviewed at each reporting date and are adjusted to the extent that it is no longer probable the related tax benefits will be realized.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

Deferred tax is provided on temporary differences arising on investments in subsidiaries, except where the timing of the reversal of the temporary difference is controlled by the Company and it is probable that the temporary difference will not reverse in the foreseeable future.

(p) Accounting Standards Adopted During the Period

During the year ended December 31, 2012, the Company adopted certain amendments to IFRS 7 Financial Instruments: Disclosures. These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. The adoption of these amendments to IFRS 7 did not have any impact on the disclosures of the Company for the year ended December 31, 2012.

(q) Recent Accounting Pronouncements Not Yet Adopted

Financial Instruments – Recognition and Measurement

In October 2010, the IASB published amendments to IFRS 9 *Financial Instruments* (IFRS 9 (2010)) which provides added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2015, with early adoption permitted. For annual periods beginning before January 1, 2015, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2015. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Assets and Liabilities

In December 2011, the IASB published amendments to International Accounting Standard ("IAS") 32 *Financial Instruments: Presentation* and issued new disclosure requirements in IFRS 7 *Financial Instruments: Disclosures*. The effective date for the amendments to IAS 32 is annual periods beginning on or after January 1, 2014. The effective date for the amendments to IFRS 7 is annual periods beginning on or after January 1, 2013. These amendments are to be applied retrospectively.

The amendments to IAS 32 clarify when an entity has a legally enforceable right to off-set as well as clarify, when a settlement mechanism provides for net settlement, or gross settlement that is equivalent to net settlement. The amendments to IFRS 7 contain new disclosure requirements for financial assets and liabilities that are offset in the statement of financial position or subject to master netting arrangements or similar arrangements. The Company intends to adopt the amendments to IFRS 7 in its financial statements for the annual period beginning on January 1, 2013, and the amendments to IAS 32 in its financial statements for the annual period beginning January 1, 2014. The Company will include the additional disclosures required by the amendments to IFRS 7 in its 2013 financial statements. The extent of the impact of adoption of the amendments to IAS 32 has not yet been determined.

Consolidated Financial Statements

In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*. IFRS 10 replaces portions of IAS 27 *Consolidated and Separate Financial Statements*, that addresses consolidation, and supersedes SIC-12 *Consolidation – Special Purpose Entities ("SPE"),* in its entirety. IFRS 10 provides a single model to be applied in the analysis of control of all investees, including entities that currently are SPEs in the scope of SIC-12. In addition, the consolidation procedures specified in IFRS 10 are carried forward substantially unmodified from IAS 27.

Joint Arrangements

In May 2011, the IASB issued IFRS 11 *Joint Arrangements*. IFRS 11 supersedes IAS 31, *Interest in Joint Ventures* and SIC-13 *Jointly Controlled Entities – Non-Monetary Contributions by Venturers*. Through an assessment of the rights and obligations in an arrangement, IFRS 11 establishes principles to determine the type of joint arrangement, which are classified as either joint operations or joint ventures, and provides guidance for financial reporting activities required by the entities that have an interest in arrangements that are controlled jointly. Investments in joint ventures are required to be accounted for using the equity method.

As a result of the issuance of IFRS 10 and IFRS 11, IAS 28 *Investments in Associates and Joint Ventures*, has been amended to correspond to the guidance provided in IFRS 10 and IFRS 11.

Disclosure of Interests in Other Entities

In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities,* which contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities.

IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are all effective for annual periods beginning on or after January 1, 2013. Early adoption is permitted, so long as IFRS 10, IFRS 11 and IFRS 12, and the amendments to IAS 27 and IAS 28 are adopted at the same time. However, entities are permitted to incorporate any of the disclosure requirements in IFRS 12 into their financial statements without early adoption of IFRS 10, IFRS 11, amendments to IAS 27 and IAS 28. The Company intends to adopt IFRS 10, IFRS 11 and IFRS 12 and the amendments to IAS 27 and IAS 28 in its consolidated financial statements for the annual period beginning on January 1, 2013. The impact of the adoption of IFRS 10, IFRS 11 and IFRS 12 and the amendments to IAS 27 and IAS 28 is not expected to be material to the financial statements.

Fair Value Measurement

In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The Company will provide required additional disclosures on fair valued items beginning with its first quarter 2013 financial statements.

Presentation of Financial Statements

In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. These amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt these amendments in its financial statements for the annual period beginning on January 1, 2013. The Company will change the presentation of its consolidated statement of other comprehensive income starting in the first quarter of 2013.

Employee Benefits

In June 2011, the IASB published an amended version of IAS 19 Employee Benefits. Adoption of the amendment is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. The amendment is generally applied retrospectively with certain exceptions. The amendment requires the calculation of expected return on plan assets to be based on the rate used to discount the defined benefit obligation. The amendment also requires other changes and additional disclosures. The Company intends to adopt the amendment in its financial statements for the annual period beginning on January 1, 2013.

If the Company had adopted the portion of the new standard relating to the calculation of expected return on plan assets being based on the rate used to discount the defined benefit obligation, and administrative fees being expensed as incurred in 2012, the impact would have been an increase in pre-tax pension expense of $3.6 million ($2.7 million after-tax) for the 2012 fiscal year. This would be offset through other comprehensive income (loss). Management is still in the process of assessing the full impact of the remaining amendments to this standard.

4. ACCOUNTS RECEIVABLE AND NOTES RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to an entity owned by a financial institution. The Company retains servicing responsibilities and retains a very limited recourse obligation for delinquent receivables. At December 31, 2012, trade accounts receivable being serviced under this program amounted to $95.3 million (December 31, 2011: $91.1 million). In return for the sale of its trade receivables, the Company received cash of $51.2 million (December 31, 2011: $45.3 million) and a note receivable in the amount of $44.1 million (December 31, 2011: $45.8 million). The note receivable is non-interest bearing and is due on the settlement dates of the securitized accounts receivable.

The Company operates a trade accounts receivable securitization program that requires the sale of trade accounts receivable to be treated as a sale from an accounting perspective and as a result, trade accounts receivable balances sold under this program are derecognized in the consolidated balance sheets as at December 31, 2012 and December 31, 2011. The agreement expires in October 2013.

Components of accounts receivable are as follows:

	2012	2011
Trade receivables	**$ 34,607**	$ 40,032
Less: Allowance for doubtful accounts	**–**	(1,914)
Net trade receivables	**34,607**	38,118
Other receivables	**14,828**	18,404
	$ 49,435	$ 56,522

The aging of trade receivables is as follows:

	As at December 31, 2012	As at December 31, 2011
Current	**$ 33,939**	$ 37,790
Past due 0-30 days	**161**	1,338
Past due 31-60 days	**–**	287
Past due 61-90 days	**205**	371
Past due > 90 days	**302**	246
	$ 34,607	$ 40,032

The Company maintains an allowance for doubtful accounts that represents its estimate of the risk of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individual exposures.

5. INVENTORIES

	As at December 31, 2012	As at December 31, 2011
Raw materials	**$ 14,506**	$ 14,347
Work in process	**69**	34
Finished goods	**20,403**	19,692
Packaging	**9,074**	9,160
Spare parts	**18,714**	16,815
	$ 62,766	$ 60,048

During the year, inventory in the amount of $894.7 million (2011: $896.0 million) was expensed through cost of goods sold. There were no reversals of previous write-downs recognized.

6. PROPERTY AND EQUIPMENT

Cost	**Land**	**Buildings**	**Machinery and equipment**	**Under construction**	**Total**
Balance at December 31, 2011	**$ 22,176**	**$ 195,225**	**$ 510,154**	**$ 99,782**	**$ 827,337**
Additions	**2,429**	**19,656**	**73,181**	**(53,219)**	**42,047**
Disposals, write-downs and restructuring charges	**(1,038)**	**(3,771)**	**(24,261)**	**–**	**(29,070)**
Other	**(1,358)**	**(13,158)**	**14,450**	**2,951**	**2,885**
Transfers to investment properties	**(100)**	**(2,080)**	**–**	**–**	**(2,180)**
Transfers	**–**	**581**	**6,465**	**(7,046)**	**–**
Foreign currency translation	**(15)**	**(377)**	**(1,805)**	**38**	**(2,159)**
Balance at December 31, 2012	**$ 22,094**	**$ 196,076**	**$ 578,184**	**$ 42,506**	**$838,860**
Depreciation and impairment losses					
Balance at December 31, 2011	**$ –**	**$ 58,344**	**$343,049**	**$ –**	**$ 401,393**
Additions	**–**	**5,724**	**42,375**	**–**	**48,099**
Disposals, write-downs and restructuring charges	**–**	**(2,725)**	**(19,089)**	**–**	**(21,814)**
Other	**–**	**(1,255)**	**4,665**	**–**	**3,410**
Transfers to investment properties	**–**	**(966)**	**–**	**–**	**(966)**
Foreign currency translation	**–**	**(179)**	**(1,562)**	**–**	**(1,741)**
Balance at December 31, 2012	**$ –**	**$ 58,943**	**$ 369,438**	**$ –**	**$ 428,381**
Net balance, December 31, 2012	**$ 22,094**	**$ 137,133**	**$ 208,746**	**$ 42,506**	**$ 410,479**

Cost	Land	Buildings	Machinery and equipment	Under construction	Total
Balance at December 31, 2010	$ 23,599	$ 175,467	$ 533,588	$ 61,423	$ 794,077
Additions	–	40,678	33,313	38,525	112,516
Disposals, write-downs and restructuring charges	(41)	(9,992)	(56,070)	–	(66,103)
Other	(83)	(96)	307	–	128
Transfers to investment properties	(1,315)	(10,479)	–	–	(11,794)
Interest capitalized	8	37	74	–	119
Foreign currency translation	8	(390)	(1,058)	(166)	(1,606)
Balance at December 31, 2011	$ 22,176	$ 195,225	$ 510,154	$ 99,782	$ 827,337
Depreciation and impairment losses					
Balance at December 31, 2010	$ –	$ 61,989	$ 344,485	$ –	$ 406,474
Additions	–	6,354	40,360	–	46,714
Disposals, write-downs and restructuring charges	–	(2,577)	(39,126)	–	(41,703)
Other	–	(202)	(1,256)	–	(1,458)
Transfers to investment properties	–	(7,067)	–	–	(7,067)
Foreign currency translation	–	(153)	(1,414)	–	(1,567)
Balance at December 31, 2011	$ –	$ 58,344	$ 343,049	$ –	$ 401,393
Net balance, December 31, 2011	$ 22,176	$ 136,881	$ 167,105	$ 99,782	$ 425,944

Impairment or property and equipment

During the year the Company recorded $0.4 million (2011: $14.4 million) of impairment through restructuring and other related costs. No reversals of impairments were recognized during the year.

7. INVESTMENT PROPERTY

Investment property is comprised of surplus land and buildings primarily resulting from restructuring activities. The fair value of the Company's investment properties was $17.3 million at December 31, 2012 (2011: $11.2 million). During 2011 the Company obtained external appraisals for $11.2 million of this amount. For the other investment properties, the Company determined the value based on comparable market information.

During the year, the Company did not generate rental revenue (2011: $nil) from investment properties. Operating costs of $1.5 million (2011: $0.5 million), were recorded through other income. Any impairment losses or reversals of impairment losses on investment property would be recorded through other income.

The continuity of investment property for the years ended December 31, 2012 and 2011 is as follows:

Cost	**Land**	**Buildings**	**Total**
Balance at December 31, 2011	**$ 3,580**	**$ 11,902**	**$ 15,482**
Transfers from property and equipment	**100**	**2,080**	**2,180**
Disposals	**–**	**(877)**	**(877)**
Foreign currency translation	**(9)**	**(69)**	**(78)**
Balance at December 31, 2012	**$ 3,671**	**$ 13,036**	**$ 16,707**
Accumulated depreciation			
Balance at December 31, 2011	**$ –**	**$ 7,067**	**$ 7,067**
Transfers from property and equipment	**–**	**966**	**966**
Disposals	**–**	**(679)**	**(679)**
Depreciation	**–**	**252**	**252**
Foreign currency translation	**–**	**(2)**	**(2)**
Balance at December 31, 2012	**$ –**	**$ 7,604**	**$ 7,604**
Net balance, December 31, 2012	**$ 3,671**	**$ 5,432**	**$ 9,103**

Cost	Land	Buildings	Total
Balance at December 31, 2010	$ 2,300	$ 1,443	$ 3,743
Transfers from property and equipment	1,315	10,479	11,794
Foreign currency translation	(35)	(20)	(55)
Balance at December 31, 2011	$ 3,580	$ 11,902	$ 15,482
Accumulated depreciation			
Balance at December 31, 2010	$ –	$ –	$ –
Transfers from property and equipment	–	7,067	7,067
Balance at December 31, 2011	$ –	$ 7,067	$ 7,067
Net balance, December 31, 2011	$ 3,580	$ 4,835	$ 8,415

8. EMPLOYEE BENEFITS

Information about the Company's defined benefit plans as at December 31, in aggregate, is as follows:

	Other post-retirement benefits	**Total pensions**	**2012 Total**	Other post-retirement benefits	Total pension	2011 Total
Accrued benefit obligation:						
Balance, beginning of year	**$ 2,113**	**$ 152,164**	**$ 154,277**	$ 2,009	$ 138,578	$ 140,587
Current service cost	**24**	**4,058**	**4,082**	20	3,527	3,547
Interest cost	**93**	**6,874**	**6,967**	98	6,884	6,982
Benefits paid	**(118)**	**(9,682)**	**(9,800)**	(126)	(8,675)	(8,801)
Actuarial losses	**142**	**10,294**	**10,436**	112	10,984	11,096
Employee contributions	**–**	**764**	**764**	–	866	866
Special termination benefits	**–**	**270**	**270**	–	–	–
Settlements	**–**	**(905)**	**(905)**	–	–	–
Balance, end of year	**$ 2,254**	**$ 163,837**	**$ 166,091**	$ 2,113	$ 152,164	$ 154,277
Unfunded	**$ 2,254**	**$ 5,972**	**$ 8,226**	$ 2,113	$ 6,486	$ 8,599
Funded[(i)]	**–**	**157,865**	**157,865**	–	145,678	145,678
Total obligation	**$ 2,254**	**$ 163,837**	**$ 166,091**	$ 2,113	$ 152,164	$ 154,277

(i) includes wholly and partially funded plans

Plan Assets						
Fair value, beginning of year	**$ –**	**$ 103,843**	**$ 103,843**	$ –	$ 103,942	$ 103,942
Expected return on plan assets	**–**	**7,510**	**7,510**	–	7,927	7,927
Actuarial gains (losses)	**–**	**1,609**	**1,609**	–	(8,383)	(8,383)
Employer contributions	**118**	**7,218**	**7,336**	126	8,166	8,292
Employee contributions	**–**	**764**	**764**	–	866	866
Benefits paid	**(118)**	**(9,682)**	**(9,800)**	(126)	(8,675)	(8,801)
Settlements	**–**	**(1,182)**	**(1,182)**	–	–	–
Fair value, end of year	**$ –**	**$ 110,080**	**$ 110,080**	$ –	$ 103,843	$ 103,843
Accrued benefit liability, end of year	**$ (2,254)**	**$ (53,757)**	**$ (56,011)**	$ (2,113)	$ (48,321)	$ (50,434)

Pension benefit expense recognized in net income:

	2012	2011
Current service cost – defined benefit	**$ 4,058**	$ 3,527
Current service cost – defined contribution and multi- employer plan	**8,286**	8,366
Interest cost	**6,874**	6,884
Expected return on plan assets	**(7,510)**	(7,927)
Curtailment gain[(i)]	**–**	–
Special termination benefits[(i)]	**270**	–
Settlement loss	**276**	–
Net benefit plan expense	**$ 12,254**	$ 10,850

(i) Included in Restructuring and other related costs

During the year, the Company expensed salaries of $312.0 million (2011: $321.2 million) and benefits of $52.9 million (2011: $60.1 million), excluding pension and other post-retirement benefits.

Amounts recognized in other comprehensive income (loss) before income taxes:

	2012	2011
Actuarial losses	**$ (8,828)**	$ (19,479)
	$ (8,828)	$ (19,479)

The cumulative amount recorded to date through other comprehensive income (loss) before income-taxes is $40.4 million (2011: $31.5 million). The expected long-term rate of return on plan assets was determined based on the plans investment mix, noted below, the current rate of inflation and historical equity returns. Actual returns on plan assets for the year ended December 31, 2012 was a gain of $9.1 million (2011: loss of $0.5 million).

	2012	2011	2010
Fair value of plan assets	**$ 110,080**	$ 103,843	$ 103,942
Present value of obligation	**166,091**	154,277	140,587
Plan deficit	**$ (56,011)**	$ (50,434)	$ (36,645)
Experience gains (losses) on assets	**1,625**	(8,383)	(1,013)
Experience gains (losses) on obligation	**1,650**	(2,047)	(901)

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations and net benefit plan expense are as follows:

	2012	2011
Weighted average discount rate used to calculate the net benefit plan expense	**4.50%**	5.00%
Weighted average discount rate used to calculate year end benefit obligation	**3.75%**	4.50%
Expected long-term rate of return on plan assets	**7.25%**	7.25%
Rate of compensation increase	**3.50%**	3.50%
Medical cost trend rates	**6.00%**	6.50%

Plan assets comprised of:

As at December 31,	**2012**	2011
Equity securities	**60%**	59%
Debt securities	**37%**	38%
Other investments and cash	**3%**	3%
	100%	100%

Other post-retirement benefits expense:

	2012	2011
Current service cost	**$ 24**	$ 20
Interest cost	**93**	98
	$ 117	$ 118

Impact of 1% change in health care cost trend:

	1% Increase	**1% Decrease**
Effect on end-of-year obligation	**$ 76**	**$ (68)**
Aggregate of 2012 current service cost and interest cost	**$ 3**	**$ (3)**

Measurement dates:

2012 expense	December 31, 2011
Balance sheet	December 31, 2012

The Company expects to contribute $13.6 million to the pension plans in 2013, inclusive of defined contribution plans and the multi-employer plans.

Multi-employer Plan

The Company contributes to the Canadian Bakery and Confectionary Union and Industry Canada Pension Fund, which is a multi-employer defined benefit plan for employees who are members of the Canadian Bakery and Confectionary Union. This is a large scale plan for union workers of multiple companies across Canada. Adequate information to account for these contributions as a defined benefit plan in the Company's statements is not available due to the size and number of contributing employers in the plan. Included in the current service cost – defined contribution and multi-

employer plan expense of $8.3 million (2011: $8.4 million) was $3.2 million (2011: $3.2 million) related to payments into this plan. The Company expects to make contributions of $3.6 million into this plan for the 2013 year. This is included in the total contributions amount above.

9. GOODWILL

December 31,	**2012**	2011
Cost		
Opening Balance	**$ 378,743**	$ 375,894
Foreign currency translation	**(105)**	2,849
Balance	**$ 378,638**	$ 378,743
Impairment losses		
Opening Balance	**$ (112,730)**	$ (111,618)
Foreign currency translations	**(1,665)**	(1,112)
Balance	**$ (114,395)**	$ (112,730)
Carrying amounts	**$ 264,243**	$ 266,013

For the purposes of annual impairment testing, goodwill is allocated to the following groups of CGUs, being the groups expected to benefit from the synergies of the business combinations in which the goodwill arose.

As at December 31,	**2012**	2011
CGU Group		
Canadian fresh bakery	**$ 123,867**	$ 123,867
North American frozen bakery	**138,351**	140,121
Fresh pasta	**2,025**	2,025
	$ 264,243	$ 266,013

The key assumptions used in the calculation of the recoverable amount as at October 1, 2012 and 2011, were as follows for the significant CGU groups:

	Discount Rate		**Growth Rate**	
	2012	2011	**2012**	2011
CGU Group				
Canadian fresh bakery	**10.66%**	13.20%	**2.20%**	2.50%
North American frozen bakery	**8.56%**	10.85%	**2.49%**	2.83%
Fresh pasta	**9.11%**	10.62%	**2.20%**	2.50%

Annual impairment testing involves determining the recoverable amount of each CGU group to which goodwill is allocated, and comparing this to the carrying value of the group. The measure of the recoverable amount of all CGU groups was calculated based on fair value less costs to sell. As there was no market information available fair value was determined by discounting the future cash flows generated from the continuing use of the group. The calculation of the fair value was based on the following key assumptions:

- Cash flows were projected based on the Company's long-term business plan. Cash flows for a further perpetual period were extrapolated using the growth rate listed above. These rates do not exceed the long-term average growth rate for the countries that the segments operate in.
- The business plan includes forecasts up to, and including, the year 2015 and is based on past experience of actual operating results in conjuncture with anticipated future growth opportunities. While the forecast does assume some base business expansion, largely related to innovation, the primary engine of growth is strategic in nature and is consistent with the projects and expectations as articulated in the Company's strategic plan.

- Discount rates as shown in the table above were applied in determining the recoverable amount of each CGU group. The discount rate was estimated based on past experience and the weighted average cost of capital of the Company and other competitors in the industry.

The values assigned to the key assumptions represent Management's assessment of future trends in the industries the CGU groups operate in and are based on both external and internal sources and historical trend data.

10. INTANGIBLE ASSETS

	Indefinite life	**Finite life**		
Cost	**Delivery routes**	**Trademarks**	**Customer relationships**	**Total**
Balance at December 31, 2011	**$ 1,350**	**$ 8,221**	**$ 12,948**	**$ 22,519**
Additions	**2,490**	**–**	**–**	**2,490**
Dispositions	**(2,568)**	**–**	**–**	**(2,568)**
Foreign currency translation	**–**	**(5)**	**194**	**189**
Balance at December 31, 2012	**$ 1,272**	**$ 8,216**	**$ 13,142**	**$ 22,630**
Amortization and impairment losses				
Balance at December 31, 2011		**$ 6,777**	**$ 3,032**	**$ 9,809**
Amortization		**691**	**483**	**1,174**
Balance at December 31, 2012		**$ 7,468**	**$ 3,515**	**$ 10,983**
Net balance, December 31, 2012	**$ 1,272**	**$ 748**	**$ 9,627**	**$ 11,647**

	Indefinite life	Finite life		
Cost	Delivery routes	Trademarks	Customer relationships	Total
Balance at December 31, 2010	$ 1,012	$ 7,932	$ 13,366	$ 22,310
Additions	1,284	281	275	1,840
Dispositions	(946)	–	(830)	(1,776)
Foreign currency translation	–	8	137	145
Balance at December 31, 2011	$ 1,350	$ 8,221	$ 12,948	$ 22,519
Amortization and impairment losses				
Balance at December 31, 2010		$ 6,125	$ 2,559	$ 8,684
Amortization		652	473	1,125
Balance at December 31, 2011		$ 6,777	$ 3,032	$ 9,809
Net balance, December 31, 2011	$ 1,350	$ 1,444	$ 9,916	$ 12,710

Amortization

Amortization is recorded through cost of goods sold or selling general and administrative expenses depending on the nature of the asset.

Indefinite Life Intangibles

All indefinite life intangible assets are a part of the Fresh Bakery CGU Group.

The Company performs annual impairment testing on its indefinite life intangible assets. Annual impairment testing, consistent with the impairment testing for goodwill as described in Note 9, involves determining the recoverable amount of each indefinite life intangible asset and comparing it to the carrying value. The recoverable values of the Company's indefinite life intangible assets are determined based on discounted projected cash flows.

11. PROVISIONS

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[1]	Total
Balance at December 31, 2011	**$ 119**	**$ 1,495**	**$ 3,510**	**$ 22,947**	**$ 28,071**
Charges	**461**	**–**	**174**	**11,950**	**12,585**
Reversals	**–**	**–**	**–**	**(877)**	**(877)**
Cash payment	**(186)**	**–**	**–**	**(17,852)**	**(18,038)**
Non-cash items	**–**	**–**	**74**	**(5,610)**	**(5,536)**
Balance at December 31, 2012	**$ 394**	**$ 1,495**	**$ 3,758**	**$ 10,558**	**$ 16,205**
Current					**$ 9,928**
Non-current					**6,277**
Total					**$ 16,205**

	Legal	Environ-mental	Lease make-good	Restructuring and other related costs[1]	Total
Balance at December 31, 2010	$ –	$ 1,495	$ 4,745	$ 13,068	$ 19,308
Charges	119	–	–	46,357	46,476
Cash payment	–	–	–	(14,125)	(14,125)
Non-cash items	–	–	(1,235)	(22,353)	(23,588)
Balance at December 31, 2011	$ 119	$ 1,495	$ 3,510	$ 22,947	$ 28,071
Current					$ 23,066
Non-current					5,005
Total					$ 28,071

[1] *For additional information on restructuring, see the table below.*

Restructuring and Other Related Costs

During the year ended December 31, 2012, the Company recorded restructuring and other related costs of $11.9 million ($9.4 million after-tax), before the impact of any reversals in the year. After reversals, the Company recorded $11.1 million ($8.6 million).

Of this pre-tax amount, $5.8 million was incurred by the U.K. bakery business related to accelerated depreciation and other costs in connection with the closure of the Walsall and Park Royal plants. A further $5.5 million related to the closures of two bakeries in Toronto, Ontario and a third in Delta, British Columbia. The balance of restructuring costs of $0.6 million was incurred in connection with other on-going restructuring initiatives of the Company.

During the year ended December 31, 2011, the Company recorded restructuring costs of $46.4 million ($35.3 million after-tax). Of this pre-tax amount, $24.2 million was incurred by the U.K. bakery business, related to the closure of the Walsall, Cumbria and Park Royal plants. These costs include severance of $4.0 million, lease cancelation charges of $7.8 million, asset write downs and accelerated depreciation of $11.7 million and other costs of $0.7 million. The Company also incurred $9.3 million in restructuring costs related to the closure of the Laval, Quebec frozen bakery and the Delta, British Columbia fresh bakery and $2.9 million of restructuring costs related to the sale of the sandwich product line. The Company also recorded $7.5 million in restructuring costs for initiatives across the Company related to changes in management structure and related severances. The balance of the restructuring costs of $2.5 million was incurred in connection with other on-going restructuring initiatives of the Company.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at December 31, 2012, all on a pre-tax basis:

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2011	**$ 14,975**	**$ 6,776**	**$ –**	**$ 1,196**	**$ –**	**$ 22,947**
Charges	**1,605**	**4,155**	**5,324**	**596**	**270**	**11,950**
Reversals	**(331)**	**(379)**	**(14)**	**(153)**	**–**	**(877)**
Cash payments	**(10,464)**	**(6,448)**	**–**	**(940)**	**–**	**(17,852)**
Non-cash items	**–**	**(30)**	**(5,310)**	**–**	**(270)**	**(5,610)**
Other	**781**	**(144)**	**–**	**(637)**	**–**	**–**
Balance at December 31, 2012	**$ 6,566**	**$ 3,930**	**$ –**	**$ 62**	**$ –**	**$ 10,558**

	Severance	Site closing	Asset impairment and accelerated depreciation	Retention	Pension	Total
Balance at December 31, 2010	$ 11,228	$ 1,456	$ –	$ 384	$ –	$ 13,068
Charges	15,299	9,027	21,011	1,020	–	46,357
Cash payments	(11,552)	(2,365)	–	(208)	–	(14,125)
Non-cash items	–	(1,342)	(21,011)	–	–	(22,353)
Balance at December 31, 2011	$ 14,975	$ 6,776	$ –	$ 1,196	$ -	$ 22,947

12. BANK INDEBTEDNESS AND LONG-TERM DEBT

	As at December 31, 2012	As at December 31, 2011
Bank indebtedness[(c)]	**$ –**	$ 3,153
Due to Maple Leaf[(a)]	**$ 1,609**	$ 2,364
Southern Ontario Development Program[(b)]	**1,670**	1,722
	3,279	4,086
Less: Current portion	**358**	2,452
Long term debt	**$ 2,921**	$ 1,634

(a) On June 28, 2012 the Company entered into a new $50.0 million five-year revolving debt facility with Maple Leaf, the Company's controlling shareholder to provide liquidity for general corporate purposes. The new debt facility replaced the Company's $250.0 million revolving debt facility that was due to mature on June 30, 2012. Both facilities bear interest based on bankers' acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar and British pound loans. Both facilities are unsecured and subject to certain financial covenants. At December 31, 2012 the Company was in compliance with all of its financial covenants.

Interest incurred under these facilities with Maple Leaf was $0.2 million in 2012 (2011: $0.3 million).

(b) During 2010, the Company received a government loan of $2.0 million from the Southern Ontario Development Program administered by the Federal Economic Development Agency. The loan is interest free and has monthly repayment requirements from 2012 to 2017. The Company recorded the proceeds of the loan at fair value of $1.6 million calculated using a discounted cash flow analysis and the loan is carried at amortized cost on the balance sheet.

(c) The Company has a demand operating line of credit of £5.0 million ($8.0 million) to provide short-term funding for its U.K. operations. The facility has interest based on LIBOR rates. As at December 31, 2012, nil balance (2011: £2.0 million ($3.2 million)) was outstanding and has been classified as bank indebtedness.

(d) The Company has facilities available on demand of $38.0 million (2011: $28.1 million) which include an overdraft operating facility of £5.0 million ($8.0 million) and two operating facilities, one of USD $10.0 million ($10.0 million) and one of $20.0 million, which bear interest at short-term rates. At December 31, 2012, £2.1 million ($3.3 million) was utilized under these facilities (2011: £4.4 million ($6.9 million)) and this utilization reduced the Company's cash and cash equivalents.

(e) The Company has a demand letter of credit facility of $15.0 million (2011: $10.0 million) of which $11.2 million as at December 31, 2012 (2011: $9.8 million) was utilized.

(f) The Company's weighted average cost of borrowing for 2012 was 3.7% (2011: 3.8%).

Required repayments of long-term debt are as follows:

2013	$ 358
2014	358
2015	358
2016	358
2017	1,847
Total long-term debt	**$ 3,279**

13. CAPITAL AND OTHER COMPONENTS OF EQUITY

Common Shares

At December 31, 2012 there were 25,416,812 shares outstanding, (December 31, 2011: 25,416,812). There were no share transactions during the year.

The authorized share capital consists of an unlimited number of common shares and 25,000 preference shares. These shares have no par value.

The holders of common shares are entitled to receive dividends as declared from time to time, and are entitled to one vote per share at meetings of the Company.

Accumulated Other Comprehensive Loss

	Foreign currency translation adjustments	**Unrealized gain (loss) on cash flow hedges**	**Change in actuarial gains and losses**	**Total accumulated other comprehensive loss**
Balance at December 31, 2011	**$ (10,743)**	**$ 528**	**$ –**	**$ (10,215)**
Other comprehensive loss	**(1,980)**	**(571)**	**(6,532)**	**(9,083)**
Transfer to Retained earnings	**–**	**–**	**6,532**	**6,532**
Balance at December 31, 2012	**$ (12,723)**	**$ (43)**	**$ –**	**$ (12,766)**

	Foreign currency translation adjustments	Unrealized gain (loss) on cash flow hedges	Change in actuarial gains and losses	Total accumulated other comprehensive loss
Balance at December 31, 2010	$ (14,050)	$ (46)	$ –	$ (14,096)
Other comprehensive (loss) gain	3,307	574	(14,448)	(10,567)
Transferred to Retained earnings	–	–	14,448	14,448
Balance at December 31, 2011	$ (10,743)	$ 528	$ –	$ (10,215)

The change in accumulated foreign currency translation adjustments includes tax of $nil for the year ended December 31, 2012 (2011: $nil).

The change in unrealized gain on cash flow hedges includes tax of $0.2 million for the year ended December 31, 2012 (2011: $0.2 million).

The change in actuarial losses includes tax of $2.3 million for the year ended December 31, 2012 (2011: $5.0 million).

The Company estimates that $nil million of the unrealized gain included in accumulated other comprehensive loss will be reclassified into net earnings within the next twelve months. The actual amount of this reclassification will be impacted by future changes in the fair value of financial instruments designated as cash flow hedges and the actual amount reclassified could differ from this estimated amount. During the year ended December 31, 2012, a gain of $0.3 million after-tax was released to earnings from accumulated other comprehensive loss and is included in the net change for the period (2011: loss of $1.1 million net-of-tax).

Dividends

The following dividends were declared by the Company:

	2012	2011
$1.70 per qualifying common share (2011: $0.66)	**$ 43,198**	$ 16,777

14. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT ACTIVITIES

Capital

The Company's objective is to maintain a cost effective capital structure that supports its long-term growth strategy and maximizes operating flexibility. In allocating capital to investments to support its earnings goals, the Company establishes internal hurdle return rates for capital initiatives. Capital projects are generally financed with senior debt and internal cash flows.

The Company measures its credit profile using a number of metrics, some of which are non-IFRS measures, primarily net debt to earnings before interest, tax, depreciation and amortization ("EBITDA") and EBITDA to interest expense.

The Company's goal is to maintain its primary credit ratios and leverage at levels that are designed to provide continued access to investment grade credit pricing and terms. On June 28, 2012, the Company entered into a new five-year $50.0 million revolving credit facility with Maple Leaf. The new credit facility replaced the Company's $250.0 million revolving credit facility that was due to mature on June 30, 2012. The facility will be used to provide longer –term funding and surplus liquidity. The facility can be drawn in Canadian or U.S. dollars and bears interest payable monthly, based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S dollar loans. This revolving credit facility is unsecured and is subject to certain financial covenants. As at December 31, 2012, the Company was in compliance with all of these covenants.

In addition to senior debt and equity, the Company uses operating leases and very limited recourse accounts receivable securitization programs as additional sources of financing.

The Company has maintained a dividend distribution that is based on a sustainable net earnings base.

Financial Instruments

The Company's financial assets and liabilities are classified into the following categories:

Cash and cash equivalents	Held-for-trading
Accounts receivable	Loans and receivables
Notes receivable	Loans and receivables
Bank indebtedness	Other financial liabilities
Accounts payable and accrued liabilities	Other financial liabilities
Due to Maple Leaf Foods	Other financial liabilities
Dividends payable	Other financial liabilities
Long-term debt	Other financial liabilities
Derivative instruments[(i)]	Held-for-trading

(i) *These derivative instruments may be designated as cash flow hedges or as fair value hedges as appropriate.*

The fair value of financial assets classified as loans and receivables and financial liabilities (excluding long-term debt) approximate their carrying value due to their short-term nature. Financial assets and liabilities designated as held-for-trading are recorded at fair value. The carrying value of long-term debt as at December 31, 2012 is $3.3 million which approximates fair value.

The fair value of the Company's long-term debt was estimated based on discounted future cash flows using current rates for similar financial instruments subject to similar risks and maturities. The fair values of the Company's interest rate and foreign exchange derivative financial instruments were estimated using current market measures for interest rates and foreign exchange rates. Commodity futures are exchange-traded and fair value was determined based on exchange prices.

The fair values and notional amounts of derivative financial instruments at December 31 are shown below:

	2012			2011		
	Notional	Fair value		Notional	Fair value	
	amount[i]	Asset	Liability	amount[i]	Asset	Liability
Cash flow hedges						
Foreign exchange forward contracts	**$ 11,263**	**$ –**	**$ 63**	$ 25,716	$ 716	$ –
Derivatives not designated in a formal hedging relationship						
Foreign exchange forward contracts[ii]	**$ 45,440**	**$ 39**	**$ –**	$ 43,241	$ 82	$ –
Commodity futures contracts	**–**	**–**	**–**	3,777	20	–
Total		**$ 39**	**$ 63**		$ 818	$ –
Current		**$ 39**	**$ 63**		$ 818	$ –
Non-current		**–**	**–**		–	–
Total		**$ 39**	**$ 63**		$ 818	$ –

[i] *Notional amounts are stated at the contractual Canadian dollar equivalent.*

[ii] *This amount relates to related party foreign exchange contracts with Maple Leaf.*

For the years ended December 31, 2012 and 2011, the amount of hedge ineffectiveness recognized in earnings was nominal.

The table below sets out fair value measurements of financial instruments using the fair value hierarchy:

	Level 1	Level 2	Level 3	Total
Assets:				
Foreign exchange forward contracts	$ –	$ 39	$ –	**$ 39**
	$ –	**$ 39**	**$ –**	**$ 39**
Liabilities:				
Foreign exchange forward contracts	$ –	$ 63	$ –	**$ 63**
	$ –	**$ 63**	**$ –**	**$ 63**

There were no transfers between levels during the year ended December 31, 2011.

The risks associated with the Company's financial instruments and policies for managing these risks are detailed below.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers or other counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectability of its trade and other receivables in order to mitigate any possible credit losses. As at December 31, 2012 approximately $0.5 million (2011: $0.6 million) of the Company's accounts receivable were greater than 60 days past due. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. This allowance includes a provision related to specific losses estimated on individually significant exposures. As at December 31, 2012, the Company has recorded an allowance for doubtful accounts of nil (2011: $1.9 million). Average accounts receivable days sales outstanding for the year is consistent with historic trends. There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for doubtful accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Management believes concentrations of credit risk with respect to accounts receivable is limited due to the generally high credit quality of the Company's major customers, and the large number and geographic dispersion of smaller customers. The Company does, however, conduct a significant amount of business with large grocery retailers. The

Company's three largest customers comprise approximately 34.7% (2011: 41.0%) of consolidated pre-securitized accounts receivable at December 31, 2012 and the two largest customers comprise approximately 30.4% (2011: 30.8%) of consolidated sales.

The Company is exposed to credit risk on its cash and cash equivalents (comprising primarily deposits and short-term placements with Canadian chartered banks) and non-exchange-traded derivatives contracts. The Company mitigates this credit risk by only dealing with counterparties that are major international financial institutions with long-term debt ratings of A- or better.

The Company's maximum exposure to credit risk at the balance sheet date consists primarily of the carrying value of non-derivative financial assets and non-exchange-traded derivatives with positive fair values.

Liquidity Risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities.

The contractual undiscounted principal cash flows payable in respect of financial liabilities as at the balance sheet date are as follows:

	December 31, 2012				
	Due within 1 year	Due between 1 and 2 years	Due between 2 and 3 years	Due after 3 years	**Total**
Non-derivative financial liabilities					
Accounts payable and accrued charges	$ 169,431	$ –	$ –	$ –	**$ 169,431**
Due to Maple Leaf Foods Inc.	4,830	–	–	–	**4,830**
Dividends payable	12,708	–	–	–	**12,708**
Long-term debt[1]	358	358	358	2,205	**3,279**
Total	**$ 187,327**	**$ 358**	**$ 358**	**$ 2,205**	**$ 190,248**

[1] *Does not include contractual interest payments*

The Company manages liquidity risk by monitoring forecasted and actual cash flows, maintaining sufficient undrawn committed credit facilities and managing the maturity profiles of financial assets and financial liabilities to minimize refinancing risk.

As at December 31, 2012, the Company had available undrawn committed credit of $48.4 million (2011: $247.6 million) under the terms of its principal credit facility with Maple Leaf.

Market Risk

Interest Rate Risk

Interest rate risk refers to the risk that the value of a financial instrument or cash flows associated with the instrument will fluctuate due to changes in market interest rates.

The Company's interest rate risk arises from variable rate borrowings that create cash flow interest rate risk.

At December 31, 2012, the Company had variable rate debt of $1.6 million (2011: $5.5 million) with a weighted average interest rate of 1.5% (2011: 2.2%). In addition, the Company is exposed to floating interest rates on its accounts receivable securitization programs. As at December 31, 2012, the amount serviced pursuant to this program was $51.2 million (2011: $45.3 million) at a weighted average interest rate of 2.0% (2011: 2.1%). The maximum amount available to the Company under this program is $60.0 million.

It is estimated that, all else constant, a one percentage point change in interest rates would not materially impact net earnings.

The Company manages its interest rate risk exposure by using a mix of fixed and variable rate debt and periodically using interest rate derivatives to achieve the desired proportion of variable to fixed-rate debt.

As at December 31, 2012, 96.9% (2011: 96.7%) of the Company's outstanding debt and revolving accounts receivable securitization program was exposed to interest rate movements.

Foreign Exchange Risk

Foreign exchange risk refers to the risk that the value of financial instruments or cash flows associated with the instruments will fluctuate due to changes in foreign exchange rates.

The Company's foreign exchange risk arises primarily from transactions in currencies other than Canadian dollars and investments in foreign operations.

The Company uses foreign exchange forward contracts to manage foreign exchange transaction exposures. The primary currency to which the Company is exposed is the U.S. dollar. Qualifying foreign currency forward contracts are accounted for as cash flow hedges.

It is estimated that, all else constant, an adverse hypothetical 10.0% change in the value of the Canadian dollar against all relevant currencies would result in a change in the fair value of the Company's foreign exchange forward contracts of $1.1 million ($0.8 million after-tax) and an offsetting change in other comprehensive income of $1.1 million ($0.8 million after-tax).

Commodity Price Risk

The Company is exposed to price risk related to purchases of wheat and other agricultural commodities used as raw materials. The Company may use fixed price contracts with suppliers and exchange-traded futures and options to manage its exposure to price fluctuations.

15. OTHER INCOME (EXPENSE)

	2012	2011
Legal settlements	**$ 1,400**	$ –
Gain (loss) on sale of long-lived assets	**478**	(232)
Other	**(243)**	646
	$ 1,635	$ 414

16. INTEREST EXPENSE

	2012	2011
Interest expense on securitized receivables	**$ 993**	$ 978
Deferred finance charge	**233**	227
Interest expense on long-term debt	**84**	133
Other interest charges (income)	**237**	(167)
Interest capitalized	**–**	(119)
	$ 1,547	$ 1,052

17. INCOME TAXES

The components of income tax expense were as follows:

	2012	2011
Current tax expense		
Current year	**$ 28,545**	$ 17,387
Adjustment for prior periods	**58**	(247)
	28,603	17,140
Deferred tax expense		
Origination and reversal of temporary differences	**1,823**	(8,226)
Change in tax rates	**257**	1,931
	2,080	(6,295)
Total income tax expense	**$ 30,683**	$ 10,845

Reconciliation of Effective Tax Rate

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income tax rates as a result of the following:

	2012	2011
Income tax expense according to combined statutory rate of 26.5% (2011: 28.0%)	**$ 27,737**	$ 17,580
Increase (decrease) in income tax resulting from:		
Deferred tax expense relating to changes in tax rates	**257**	1,931
Tax rate differences in other jurisdictions	**(491)**	(1,448)
Manufacturing and processing credit	**(719)**	(570)
Tax adjustments related to prior acquisitions	**–**	(12,436)
Non-deductible expenses	**161**	256
Unrecognized income tax benefit of losses	**3,006**	5,221
Other	**732**	311
	$ 30,683	$ 10,845

Income Tax Recognised in Other Comprehensive Income

	2012	2011
Pension adjustments	**$ (2,296)**	$ (5,031)
Foreign exchange forward contracts	**(217)**	178
	$ (2,513)	$ (4,853)

Deferred Tax Assets and Liabilities

Recognized Deferred Tax Assets and Liabilities

Deferred tax assets and liabilities are attributable to the following:

	As at December 31, 2012	As at December 31, 2011
Deferred tax assets:		
Tax losses carried forward	**$ 22,484**	$ 19,423
Employee benefits	**14,682**	12,870
Accrued liabilities	**2,527**	6,183
Other	**229**	118
	$ 39,922	$ 38,594
Deferred tax liabilities:		
Property and equipment	**$ 21,657**	$ 22,683
Goodwill and other intangible assets	**18,117**	17,019
Other	**2,272**	2,759
	$ 42,046	$ 42,461
Classified in the consolidated financial statements as:		
Deferred tax asset–non-current	**$ 17,874**	$ 17,917
Deferred tax liability–non-current	**(19,998)**	(21,784)
	$ (2,124)	$ (3,867)

Recognized Deferred Tax Assets

The Company has recognized deferred tax assets in the amount of approximately $22.5 million (December 31, 2011: $19.4 million), relating primarily to tax losses carried forward by subsidiaries in the U.K. and Canada. These deferred tax assets are based on the Company's estimate that the relevant subsidiaries will earn sufficient taxable profits to fully utilize these tax losses in the appropriate carry over periods.

Unrecognized Deferred Tax assets

The Company has unrecognized deferred tax assets in the amount of approximately $37.1 million (December 31, 2011: $34.8 million), relating primarily to tax losses carried forward in the U.S. and in Canada. These tax losses carried forward consist primarily of net operating losses ("NOLs") relating to a U.S. subsidiary and capital losses of the Company. The amount of NOLs is approximately $102.1 million (December 31, 2011: $98.6 million). These NOLs expire in the years from 2021 to 2032. The capital loss of the Company is approximately $50.0 million (December 31, 2011: $49.9 million). This capital loss does not expire.

Unrecognized Deferred Tax Liabilities

Deferred tax is not recognized on the unremitted earnings of subsidiaries and other investments as the Company is in a position to control the reversal of the temporary difference and it is probable that such differences will not reverse in the foreseeable future. The unrecognized temporary difference for the Company's subsidiaries at December 31, 2012 is $110.7 million (December 31, 2011: $116.9 million).

18. COMMITMENTS AND CONTINGENCIES

(a) The Company has been named as defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company and its subsidiaries enter into sales commitments with customers, and purchase commitments with suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company, certain assets that have an estimated fair value of $nil million (2011: $3.7 million). The Company believes that these contracts serve to reduce risk, and does not anticipate that losses will be incurred on these contracts.

(c) The Company has entered into a number of construction contracts related to the new Hamilton bakery facility. Contracts commitments at the end of 2012 were $0.4 million.

(d) The Company has operating lease, rent and other commitments that require minimum annual payments as follows:

2013	$ 19,073
2014	14,123
2015	9,736
2016	6,069
2017	3,805
Thereafter	9,813
	$ 62,619

During the year ended December 31, 2012 an amount of $22.3 million was recognized as an expense in earnings in respect of operating leases (2011: $23.6 million).

19. RELATED PARTY TRANSACTIONS

Services provided to the Company by Maple Leaf under the terms of a management services agreement include, but are not limited to, treasury and cash management, taxation, internal audit, accounting, external financial reporting, investor relations, public relations, corporate secretarial, legal, insurance, human resources and computer systems support. In addition, Maple Leaf provides senior management time for operating involvement. Fees paid by the Company for these services are based on the actual cost of providing such services and are allocated based on either activity drivers, or where not practicable to isolate such drivers, the proportion of assets employed to the total assets in the business unit, which is consistent with the allocation of such costs to other business units of Maple Leaf. During the year ended December 31, 2012, the Company signed a new management service agreement, with substantially similar terms and conditions.

Fees paid to Maple Leaf in 2012 for these services were $49.3 million (2011: $47.4 million). At December 31, 2012, the total outstanding balance payable to Maple Leaf was $4.8 million (December 31, 2011: $2.5 million).

The Company has a $50 million revolving debt facility with Maple Leaf to provide longer-term funding and surplus liquidity. This is described more fully in Note 12.

McCain Capital Corporation ("MCC"), which was a 31.3% shareholder of the Company's parent company until December 2, 2011, owned shares in another Canadian business, McCain Foods Limited. On December 2, 2011, MCC reorganized its shareholdings such that it is no longer a related party of the Company. As a result of this, the Company is no longer a related party with McCain Foods Limited.

Day & Ross Transportation Group, a subsidiary of McCain Foods Limited, was a related party to the Company until December 2, 2011. For the period of 2011 during which Day & Ross Transportation Group was a related party, the Company incurred costs of $2.2 million in respect of transportation services from Day & Ross Transportation Group in the normal course of business at market prices.

The Company sponsors a number of defined benefit and defined contribution plans as described in Note 8. The Company's contributions to these plans were $12.1 million in 2012 (2011: $13.1 million).

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company, directly or indirectly, including any external directors of the Company. Key management personnel compensation includes amounts paid to Maple Leaf through the management services agreement.

Remuneration of key management of the Company comprises of the following expenses:

	2012	2011
Short-term employee benefits		
Salaries, bonuses, and fees	**$ 5,446**	$ 6,358
Company car allowance	**187**	153
Other benefits	**416**	68
Total short-term employee benefits	**$ 6,049**	$ 6,579
Post-employment benefits	**560**	520
Share based benefits[i]	**6,336**	4,697
Total remuneration	**$ 12,945**	$ 11,796

[i] *The share based benefits were granted by the Company's parent company.*

During 2011 and 2012, key management of the Company did not exercise any share options granted under Maple Leaf Foods Share Incentive Plan.

20. SEGMENTED FINANCIAL INFORMATION

Reportable Segmented Information

The Company has two reportable segments, as described below, which are groupings of the Company's CGUs. These segments offer different products, have separate management structures, and have their own marketing strategies and brands. The Company's management regularly reviews internal reports for these segments. The following describes the operations of each segment:

(a) Fresh Bakery comprises fresh bakery products; sweet goods; specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and speciality bakery products.

(c) Non-allocated assets comprises corporate assets not separately identifiable to business segment groups. These include but are not limited to, corporate property, plant and equipment, investment properties, and tax balances.

	2012	2011
Sales		
Fresh Bakery	**$ 1,059,865**	$ 1,087,335
Frozen Bakery	**507,435**	508,121
	$ 1,567,300	$ 1,595,456
Earnings before restructuring and other related costs and other income		
Fresh Bakery	**$ 91,171**	$ 99,857
Frozen Bakery	**24,697**	9,934
	$ 115,868	$ 109,791
Capital expenditures		
Fresh Bakery	**$ 32,695**	$ 95,788
Frozen Bakery	**11,842**	16,729
	$ 44,537	$ 112,517
Depreciation and amortization		
Fresh Bakery	**$ 30,848**	$ 27,029
Frozen Bakery	**18,677**	20,810
	$ 49,525	$ 47,839

As at December 31,	2012	2011
Total assets		
Fresh Bakery	**$ 504,062**	$ 516,485
Frozen Bakery	**356,311**	368,534
Non-allocated assets	**109,618**	79,456
	$ 969,991	$ 964,475
Goodwill		
Fresh Bakery	**$ 125,892**	$ 125,892
Frozen Bakery	**138,351**	140,121
	$ 264,243	$ 266,013

Information about Geographic Areas

Property, equipment and investment property located outside of Canada was $98.3 million (2011: $105.7 million). Of this amount, $59.1 million (2011: $65.0 million) was located in the U.S. and $39.2 million (2011: $40.7 million) was located in the U.K.

Goodwill attributed to operations located outside of Canada was $84.9 million (2011: $86.7 million), which is all attributed to operations in the U.S.

Revenues earned outside of Canada for the year ended December 31, 2012 were $375.0 million (2011: $385.4 million). Of this amount, $230.4 million (2011: $215.5 million) was earned in the U.S. and $128.8 million (2011: $153.0 million) was earned in the U.K. Revenue by geographic area is determined by the shipping location.

Information about Major Customers

During the year, the Company reported sales to two customers each representing greater than 10% of total sales. Sales to one customer represented 18.3% (2011: 18.5%) of total sales, while sales to the second customer represented 12.1% (2011: 12.3%) of total sales. Sales to each customer are reported in both the Fresh Bakery and Frozen Bakery Segments.

21. SUBSEQUENT EVENTS

On January 30, 2013, the Company announced plans to close a bakery in Grand Falls, New Brunswick on June 28, 2013 and a bakery in Edmonton, Alberta on March 30, 2013. The Company will incur approximately $6.3 million before taxes in restructuring costs, of which approximately $4.2 million are cash costs.

Corporate Information

DIRECTORS

Michael H. McCain
Chairman of the Board

Richard A. Lan
President and Chief Executive Officer

William E. Aziz
Sarah A. Everett
J. Scott McCain
John F. Petch
Michael H. Vels

CORPORATE OFFICE

10 Four Seasons Place
Toronto, Ontario M9B 6H7
Tel: 416-622-2040
www.canadabread.ca

STOCK EXCHANGE LISTING AND STOCK SYMBOL

The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

ANNUAL MEETING

The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 8, 2013 at 2:30 p.m.

AUDITORS

KPMG LLP

REGISTRAR AND TRANSFER AGENT

Computershare Investor Services Inc.

SHAREHOLDER INFORMATION

Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
100 University Avenue, 9th Floor
Toronto, Ontario M5J 2Y1 Canada
Tel: 514-982-7555 or
1-800-564-6253
(toll-free North America)
or service@computershare.com

COMPANY INFORMATION

Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request. Please contact: 416-926-2000.

For Investor Relations, please call 416-926-2005.

www.canadabreadfoodservice.ca



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